Complete Unit 1 | learn, connect, evaluate

Detailed visual revision for students aiming for grade A • All five Pearson IAL topic sections • WBS11

BLUE definitions/examples GREEN benefits PINK limitations PURPLE connections/judgement

1.3.1 Meeting customer needs

Markets • research • positioning

1.3.2 The market

Demand • supply • PED • YED

MARKETING + PEOPLE

Evidence → decisions → business outcomes

1.3.4 Managing people

Staff • structures • motivation • leadership

1.3.3 Marketing mix and strategy

Strategy • product • promotion • price • place

1.3.5 Entrepreneurs and leaders

Entrepreneurs • motives • objectives • choices

Use the detailed cards for learning, the maps for connections and the model answers for turning knowledge into reasoning.

How to use this resource

Definitions build knowledge; examples build application; explained causal links build analysis; weighing conditions builds evaluation.

1. Learn and retrieve

Read the definition, cover it and explain it accurately from memory.

Use the example to check the difference from related terms. Draw the visual without looking.

Choose one benefit and one limitation. Explain the mechanism rather than reciting a phrase.

2. Turn the card into a paragraph

The four boxes are a reasoning plan. Use because, therefore and as a result to explain the links using the case facts.

Bring in the product, buyer, workforce, numbers or constraints. A company name on its own adds little application.

3. Evaluate the significant issue

Develop the counterargument: what could prevent the benefit or create a competing cost?

Weigh relevance, size and timing. Reach a justified answer when the command word requires one.

The judgement box supplies a condition to test, not a conclusion to copy.

4. Practise for the actual task

Use the question’s command word and marks. Learn definitions, but do not add an unnecessary definition to every extended answer.

A grade comes from the quality of the whole paper, not a fixed number of points or arrows.

Examples here are illustrative. Use source evidence in exam answers.

1.3.1 | Meeting customer needs

How does a business identify and serve an opportunity?

KNOWLEDGE → DECISION → IMPACT

Market choice

Mass/niche • size/share • brands

Changing conditions

Online markets • rivals • risk

Gather evidence

Primary/secondary • quant/qual

Choose a method

Surveys • groups • interviews • trials

Check the sample

Random • quota • stratified

Position the offer

Orientation • segmentation • maps

The higher-level connection

Customer evidence → closer product fit → differentiation → willingness to buy or pay → sales/added value. Test the cost and strength of demand.

1.3.1 | Meeting customer needs

DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

001 Mass markets

DEFINITION
A mass market serves a large, broad customer base with a product intended to appeal to many buyers.

ILLUSTRATIVE EXAMPLE

An illustrative supermarket sells a standard family loaf nationwide.



BENEFITS / USES

1. High sales volumes can spread fixed development and marketing costs over more units.

2. A broad customer base offers scope for substantial total sales revenue.

LIMITATIONS / RISKS

1. Many close rivals can force price cuts or high promotional spending.

2. A standard offer may fail to meet particular groups' preferences.

DEVELOP THIS CHAIN — explain why each arrow follows

Standardise the loaf → **Produce at large scale** → **Spread fixed cost per unit** → **Scope for competitive prices**

JUDGEMENT / WHEN DOES IT WORK?
Most suitable when needs are similar and sufficient demand exists; scale benefits require actual sales, not just capacity.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

002 Niche markets

DEFINITION
A niche market is a small, specialised part of a larger market, serving buyers with particular needs.

ILLUSTRATIVE EXAMPLE

A bakery specialises in certified allergen-free celebration cakes.



BENEFITS / USES

1. Specialist fit can reduce perceived substitutes and support a premium price.

2. Close knowledge of a defined group can build loyalty and targeted promotion.

LIMITATIONS / RISKS

1. Limited customer numbers restrict total sales and scale economies.

2. Dependence on one segment increases exposure if its needs change.

DEVELOP THIS CHAIN — explain why each arrow follows

Meet a specialist need → **Offer fewer close substitutes** → **Reduce price sensitivity** → **Potential premium-price margin**

JUDGEMENT / WHEN DOES IT WORK?
A premium only helps if buyers value the specialism enough to cover its extra cost.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

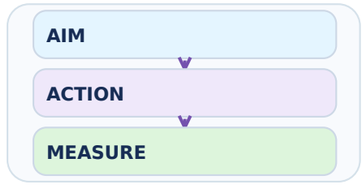
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

003 Market size, growth and market share

DEFINITION
Market size is total sales in a market. Market growth is its increase over time. Market share is a business's percentage of total market sales.

ILLUSTRATIVE EXAMPLE

Business sales £2m; total market sales £10m: share = £2m ÷ £10m × 100 = 20%.



BENEFITS / USES

1. Measure by value or volume using consistent periods and product definitions.

2. Growth % = change in market sales ÷ original market sales × 100.

LIMITATIONS / RISKS

1. Business sales may grow while its share falls if the market grows faster.

2. Rising sales value may reflect higher prices rather than more units bought.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve the offer → **Win additional buyers** → **Grow faster than the market** → **Increase market share**

JUDGEMENT / WHEN DOES IT WORK?
Compare value and volume before concluding that competitiveness improved.

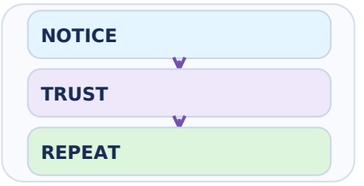
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

004 Dynamic markets and online retail

DEFINITION
A dynamic market changes continually as technology, customers, competitors and products change. Online retail sells through digital channels.

ILLUSTRATIVE EXAMPLE

A clothing retailer adapts its range and website as shoppers move towards mobile ordering.



BENEFITS / USES

1. Digital access can reach buyers beyond the local area and normal opening hours.

2. Innovation can create new demand and allow a firm to enter a growing market.

LIMITATIONS / RISKS

1. Fast change can leave stock or skills outdated, increasing adaptation costs.

2. Online comparison increases rivalry; delivery, returns and platform fees consume margins.

DEVELOP THIS CHAIN — explain why each arrow follows

Monitor changing habits → **Adapt the product/channel** → **Remain relevant to buyers** → **Protect future sales**

JUDGEMENT / WHEN DOES IT WORK?
Respond to evidence of lasting change rather than every short-lived trend.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

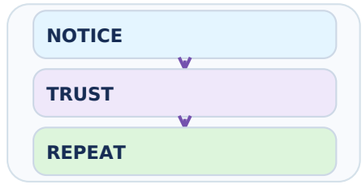
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005 Competition and its market effects

DEFINITION
Competition is rivalry between businesses trying to attract the same customers.

ILLUSTRATIVE EXAMPLE

Two local gyms compete through membership prices, facilities and coaching quality.



BENEFITS / USES

1. Pressure to retain buyers encourages innovation, quality and service improvements.

2. Efficient firms may control costs and offer better value to defend sales.

LIMITATIONS / RISKS

1. Price rivalry can reduce receipts and profit per sale.

2. Defensive promotion and differentiation increase spending with no guaranteed gain.

DEVELOP THIS CHAIN — explain why each arrow follows

A rival improves facilities → **Customers compare alternatives** → **The gym upgrades coaching** → **Improve customer retention**

JUDGEMENT / WHEN DOES IT WORK?
Assess the intensity and closeness of rivalry: differentiated offers may compete on value more than price.

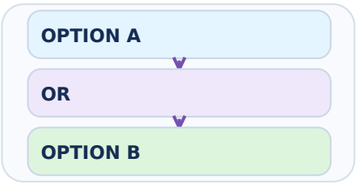
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

006 Risk and uncertainty

DEFINITION
Risk involves outcomes with estimable probabilities. Under uncertainty, reliable probabilities cannot be assigned to possible outcomes.

ILLUSTRATIVE EXAMPLE

Past sales may estimate cancellation risk; an unprecedented disruption is harder to predict.



BENEFITS / USES

1. Research, pilots and experience improve estimates before committing resources.

2. Contingency plans and suitable insurance reduce some consequences of adverse events.

LIMITATIONS / RISKS

1. Evidence from the past may not predict a changing market.

2. Insurance does not cover every commercial loss; preparation uses money and time.

DEVELOP THIS CHAIN — explain why each arrow follows

Test the proposed launch → **Identify likely problems** → **Revise weak features** → **Reduce exposure to failure**

JUDGEMENT / WHEN DOES IT WORK?
Risk can be assessed rather than eliminated; uncertainty requires flexibility and contingency options.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

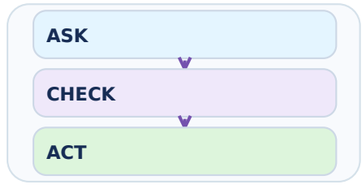
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

007 Primary market research

DEFINITION
Primary research collects new, first-hand information for the business’s particular research purpose.

ILLUSTRATIVE EXAMPLE

A café surveys local commuters about preferred breakfast times and acceptable prices.



BENEFITS / USES

1. Questions can match the exact decision and target group.

2. New evidence can identify emerging needs, quantify likely demand and explain behaviour.

LIMITATIONS / RISKS

1. Designing, collecting and analysing data can be expensive and slow.

2. Poor questions or an unrepresentative sample create misleading results.

DEVELOP THIS CHAIN — explain why each arrow follows

Ask the target customer → **Identify unmet preferences** → **Adapt the breakfast offer** → **Increase purchase likelihood**

JUDGEMENT / WHEN DOES IT WORK?
Use primary research when the decision warrants the cost and existing evidence cannot answer it adequately.

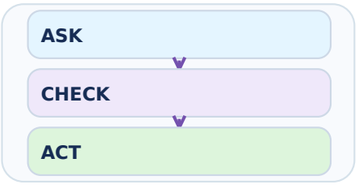
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

008 Secondary market research and sources

DEFINITION
Secondary research uses information already collected, often for a different original purpose.

ILLUSTRATIVE EXAMPLE

Use census databases, industry reports, news coverage and website analytics before opening a gym.



BENEFITS / USES

1. Existing data are usually quicker and cheaper to access than a new study.

2. Large datasets can reveal market size, demographic trends and changes over time.

LIMITATIONS / RISKS

1. Information may be outdated, biased or defined differently from the target market.

2. Competitors may access the same data; it may not explain a local buying decision.

DEVELOP THIS CHAIN — explain why each arrow follows

Read local demographic data → **Identify a growing segment** → **Target a suitable service** → **Reduce an uninformed launch**

JUDGEMENT / WHEN DOES IT WORK?
Websites/social media show behaviour and opinions; newspapers, magazines, TV/radio provide context; reports analyse markets; databases organise records. Check credibility and date.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

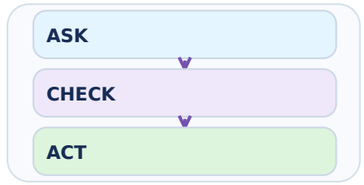
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

009 Quantitative research

DEFINITION
Quantitative research collects numerical evidence that can be counted, measured and compared.

ILLUSTRATIVE EXAMPLE

A closed-question survey finds that 120 of 200 sampled commuters would consider a £4 breakfast.



BENEFITS / USES

1. Percentages and totals help estimate likely demand and compare segments.

2. Standard questions allow large samples and consistent comparisons over time.

LIMITATIONS / RISKS

1. Numbers may reveal what buyers say or do without explaining why.

2. Sampling or wording bias remains possible; purchase intention is not actual demand.

DEVELOP THIS CHAIN — explain why each arrow follows

Count likely buyers → **Estimate sales volume** → **Plan stock quantities** → **Reduce avoidable surplus**

JUDGEMENT / WHEN DOES IT WORK?
Combine numerical results with qualitative explanations and realistic assumptions about conversion.

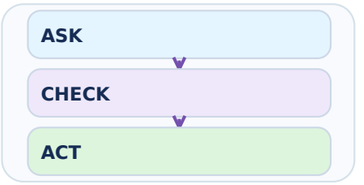
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

010 Qualitative research

DEFINITION
Qualitative research explores opinions, attitudes, experiences and the reasons behind behaviour.

ILLUSTRATIVE EXAMPLE

Interview café customers about why they reject a proposed reusable cup.



BENEFITS / USES

1. Detailed responses reveal motives that a closed questionnaire may miss.

2. Follow-up questions can uncover new ideas and improve a design.

LIMITATIONS / RISKS

1. Small, time-intensive studies are harder to generalise to a whole market.

2. Interviewer interpretation and socially desirable answers can distort findings.

DEVELOP THIS CHAIN — explain why each arrow follows

Explore rejection reasons → **Find a design problem** → **Improve usability** → **Increase customer appeal**

JUDGEMENT / WHEN DOES IT WORK?
Useful for understanding and development; use further evidence before estimating total market demand.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

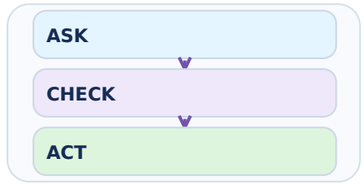
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011 Surveys and questionnaires

DEFINITION
A questionnaire is a structured set of questions; a survey uses it to collect information from respondents.

ILLUSTRATIVE EXAMPLE

A retailer sends the same short online questionnaire to customers from different age groups.



BENEFITS / USES

1. Standardised questions allow comparison and numerical analysis.

2. Online distribution can reach many respondents at relatively low collection cost.

LIMITATIONS / RISKS

1. Low response rates or self-selection may bias the sample.

2. Leading, ambiguous or lengthy questions weaken validity and completion.

DEVELOP THIS CHAIN — explain why each arrow follows

Ask clear neutral questions → **Get comparable responses** → **Identify customer priorities** → **Make a better product choice**

JUDGEMENT / WHEN DOES IT WORK?
Pilot the questions and check who responds; a large number of biased replies is still unreliable.

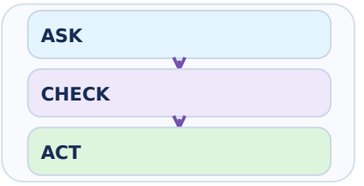
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

012 Focus groups and consumer panels

DEFINITION
A focus group is a moderated discussion among selected customers. A consumer panel provides feedback repeatedly over time.

ILLUSTRATIVE EXAMPLE

Discuss packaging with eight target buyers, then ask a panel about later purchase experiences.



BENEFITS / USES

1. Discussion generates detailed reactions and unexpected ideas; the moderator can probe reasons.

2. Repeated panel feedback reveals changes in opinions and experience rather than one snapshot.

LIMITATIONS / RISKS

1. Dominant participants and group pressure can suppress independent opinions.

2. Small groups may not represent the wider market; panel members may become untypical.

DEVELOP THIS CHAIN — explain why each arrow follows

Discuss packaging reactions → **Identify confusing information** → **Improve the label** → **Reduce barriers to purchase**

JUDGEMENT / WHEN DOES IT WORK?
Best for exploring reasons; avoid treating group enthusiasm as proof of sales across the whole market.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

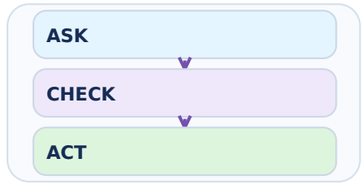
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

013 Face-to-face and telephone interviews

DEFINITION
An interview asks respondents questions directly, with opportunities for clarification and follow-up. It may be conducted in person or by telephone.

ILLUSTRATIVE EXAMPLE

Interview shoppers in person about product use, or telephone customers after a service visit.



BENEFITS / USES

1. Face-to-face contact allows demonstrations and observation of non-verbal reactions.

2. Telephone interviews avoid travel and can collect explanations across locations.

LIMITATIONS / RISKS

1. Face-to-face interviewing costs staff time and can produce interviewer bias.

2. Telephone response may be low; calls lack visual cues and can exclude some groups.

DEVELOP THIS CHAIN — explain why each arrow follows

Probe a customer concern → **Clarify the real cause** → **Improve the service** → **Support repeat purchases**

JUDGEMENT / WHEN DOES IT WORK?
Choose the channel to match the need: testing a physical design differs from checking satisfaction after a call-out.

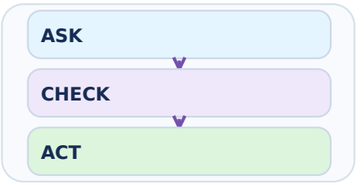
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

014 Product trials and test marketing

DEFINITION
A product trial asks people to use or try an offer. Test marketing launches it on a limited scale before a wider launch.

ILLUSTRATIVE EXAMPLE

Try a new drink with target customers, then sell it in two branches to observe real purchases.



BENEFITS / USES

1. Trials reveal usability, taste or quality issues before full commitment.

2. Limited sales provide evidence on price, promotion and repeat buying under more realistic conditions.

LIMITATIONS / RISKS

1. Trial locations or participants may not represent the wider market.

2. Testing costs money, takes time and may reveal the idea to competitors.

DEVELOP THIS CHAIN — explain why each arrow follows

Test a drink in two branches → **Observe weak repeat sales** → **Revise the recipe** → **Avoid a costly full launch**

JUDGEMENT / WHEN DOES IT WORK?
Use representative conditions and sufficient time; a successful free trial does not prove willingness to pay.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

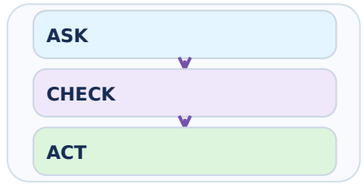
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015 Random sampling

DEFINITION
Random sampling gives each member of the defined population an equal chance of selection.

ILLUSTRATIVE EXAMPLE

Assign customer numbers and use a random generator to select interviewees.



BENEFITS / USES

1. Reduces deliberate researcher selection and gives a clear selection rule.

2. With a suitable sample, results can support estimates about the population.

LIMITATIONS / RISKS

1. A complete, accurate sampling frame may be difficult or expensive to obtain.

2. Small samples may miss important groups by chance; selected people may not respond.

DEVELOP THIS CHAIN — explain why each arrow follows

Select without preference → **Reduce selection bias** → **Improve evidence quality** → **Make a more reliable decision**

JUDGEMENT / WHEN DOES IT WORK?
Random selection is different from interviewing whoever happens to be convenient.

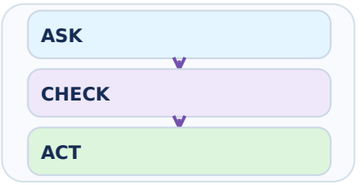
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

016 Quota sampling

DEFINITION
Quota sampling fills predetermined numbers of respondents from specified groups, with non-random selection within those quotas.

ILLUSTRATIVE EXAMPLE

Interview 50 younger and 50 older customers, selecting available people until each quota is full.



BENEFITS / USES

1. Can ensure chosen characteristics appear without needing a complete population list.

2. Often quicker and less expensive than arranging a random sample.

LIMITATIONS / RISKS

1. Interviewer choice within groups creates selection bias.

2. Matching age or gender does not guarantee representativeness of income or behaviour.

DEVELOP THIS CHAIN — explain why each arrow follows

Set relevant group quotas → **Include key customer types** → **Compare their preferences** → **Tailor the offer more effectively**

JUDGEMENT / WHEN DOES IT WORK?
A practical time-limited option, but make the non-random selection limitation explicit.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

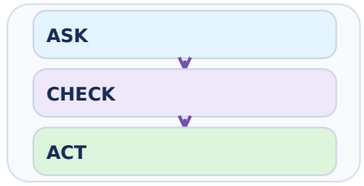
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017 Stratified sampling

DEFINITION
Stratified sampling divides the population into groups and randomly samples within each; proportionate sampling reflects each group’s population share.

ILLUSTRATIVE EXAMPLE

For a population 60% commuters and 40% residents, a sample of 100 could include 60 and 40.



BENEFITS / USES

1. Ensures important groups are represented in a planned way.

2. Comparisons between groups can inform segmentation and more accurate demand estimates.

LIMITATIONS / RISKS

1. Needs information to identify groups and their sizes before selection.

2. Organisation is more complex; non-response can still distort the final sample.

DEVELOP THIS CHAIN — explain why each arrow follows

Represent the market groups → **Capture different needs** → **Improve demand estimates** → **Reduce an unsuitable launch**

JUDGEMENT / WHEN DOES IT WORK?
Use strata relevant to the decision; adding irrelevant groups creates work without improving evidence.

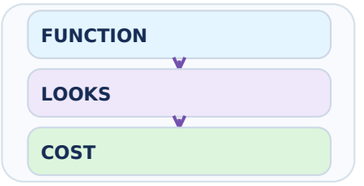
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

018 Product and market orientation

DEFINITION
Product orientation starts with product expertise and innovation. Market orientation starts with identifying and responding to customer needs.

ILLUSTRATIVE EXAMPLE

An inventor develops a new wearable; a market-led firm first researches what users dislike about existing wearables.



BENEFITS / USES

1. Product orientation may produce distinctive innovation and specialist quality.

2. Market orientation can reduce mismatch and strengthen satisfaction and repeat purchases.

LIMITATIONS / RISKS

1. A product-led firm may develop features buyers do not value.

2. Market research costs money and may favour current preferences over breakthrough ideas.

DEVELOP THIS CHAIN — explain why each arrow follows

Research unmet needs → **Adapt useful features** → **Improve customer fit** → **Increase purchase conversion**

JUDGEMENT / WHEN DOES IT WORK?
Combine customer understanding with technical judgement; neither approach guarantees success alone.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

019 Segmentation and market mapping

DEFINITION
Segmentation divides a market into groups with similar characteristics. A market map positions competing offers on two relevant perceived dimensions.

ILLUSTRATIVE EXAMPLE

Segment by age, income, location, lifestyle or behaviour; map price against perceived quality.



BENEFITS / USES

1. Segmentation focuses the mix on buyers most likely to value it.

2. Mapping reveals rival clusters and possible gaps for differentiation or repositioning.

LIMITATIONS / RISKS

1. Separate offers and campaigns can increase costs and restrict scale.

2. A two-axis map simplifies choices; an empty gap may have no profitable demand.

DEVELOP THIS CHAIN — explain why each arrow follows

Find an underserved group → **Design a relevant offer** → **Improve value for that group** → **Raise sales conversion**

JUDGEMENT / WHEN DOES IT WORK?
Validate any apparent gap with research on demand, willingness to pay and the cost of serving it.

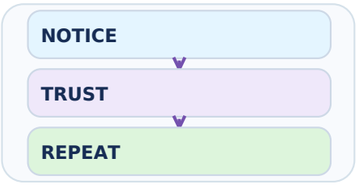
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

020 Differentiation, USP and competitive advantage

DEFINITION
Differentiation makes an offer distinct; a USP is a distinctive selling benefit; competitive advantage is an edge valued by customers over rival offers.

ILLUSTRATIVE EXAMPLE

A repair service differentiates through a guaranteed same-day response.



BENEFITS / USES

1. A valued difference reduces direct price comparison and can support premium pricing.

2. Consistent delivery of the promise can strengthen trust, loyalty and repeat sales.

LIMITATIONS / RISKS

1. Developing and maintaining the difference can increase costs.

2. Rivals can copy the feature or buyers may stop valuing it.

DEVELOP THIS CHAIN — explain why each arrow follows

Guarantee rapid repair → **Reduce customer downtime** → **Make the service more valuable** → **Support a premium price**

JUDGEMENT / WHEN DOES IT WORK?
A difference is not an advantage unless enough target buyers value it and the firm can deliver it profitably.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.1 | Meeting customer needs

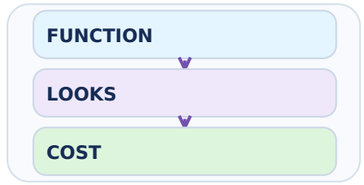
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

021 Adding value

DEFINITION
Added value is selling price minus the cost of bought-in materials, components and services.

ILLUSTRATIVE EXAMPLE

A cake sells for £30 using £10 of bought-in inputs: added value = £20, before wages and other business costs.



BENEFITS / USES

1. Design, branding, convenience and service may raise willingness to pay.

2. Reducing bought-in input costs without harming appeal also increases added value.

LIMITATIONS / RISKS

1. Customers may not pay enough extra to cover the improvement.

2. Cutting input quality may damage satisfaction and future sales.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve presentation → **Raise perceived value** → **Charge a higher price** → **Increase added value**

JUDGEMENT / WHEN DOES IT WORK?
Added value is not profit: employee pay, rent and other costs still need covering.

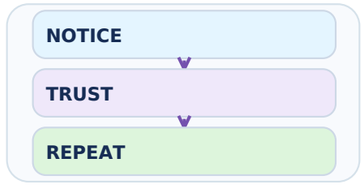
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

022 Brands and market identity

DEFINITION
A brand is an identifying name, symbol, design or combination that distinguishes an offer from competitors and carries customer associations.

ILLUSTRATIVE EXAMPLE

A recognisable bakery name and consistent packaging help buyers identify its products among similar alternatives.



BENEFITS / USES

1. Recognition can reduce buyers' search effort and encourage repeat purchases.

2. Consistent quality associations can differentiate a firm in either a mass or niche market.

LIMITATIONS / RISKS

1. Identity requires investment and repeated delivery of the promised experience.

2. Poor service or inconsistent products can damage all offers using the same identity.

DEVELOP THIS CHAIN — explain why each arrow follows

Create a recognisable identity → **Deliver consistent quality** → **Build customer trust** → **Encourage repeat buying**

JUDGEMENT / WHEN DOES IT WORK?
A name or logo alone is not a strong brand: the customer's experience must support the association. Compare brand recognition with actual preference and loyalty.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.2 | The market

How do market changes affect price, quantity and decisions?

KNOWLEDGE → DECISION → IMPACT

Demand: PACIFIC

Plus seasonality and external shocks

Supply: PINTS

Costs • tax • natural factors • technology • subsidy

Market interaction

Equilibrium • shortage/surplus • shifts

PED

Price response • determinants • revenue

YED

Income response • goods types • forecasts

Decisions

Price • stock • staff • capacity

The higher-level connection

Cause → correct curve or elasticity → quantity/price response → revenue and costs → justified decision. Keep other influences constant when using a model.

PACIFIC | factors that shift DEMAND

1.3.2 The market • Your classroom mnemonic, with meaning and direction of change.

DEFINITION Demand is the quantity consumers are willing and able to buy at different prices over a given period.

P

Population

The number and composition of people in the market.

More relevant buyers → demand usually shifts right.

A

Advertising

Paid communication intended to inform or persuade buyers.

Effective advertising → demand can shift right.

C

Changes in substitute / complement prices

Substitutes are alternatives; complements are used together.

Substitute price ↑ → D right. Complement price ↑ → D left.

I

Income

Consumers’ earnings and other income available to spend.

Income ↑ → normal-good D right; inferior-good D left.

F

Fashion and trends

Changes in tastes, preferences and what buyers value.

A product becomes more popular → D right.

I

Interest rates

The cost of borrowing and reward for saving.

Higher rates may reduce credit-funded demand.

C

Consumer confidence

How optimistic buyers feel about their financial future.

Greater confidence may raise discretionary demand.

REMEMBER

Own-price change = movement along D. Interest rates and confidence are useful classroom links; also learn every named Unit 1 influence.

Finish the specification: seasonality (recurring changes during the year) and external shocks (unexpected events) can also shift demand.

Chain: a substitute becomes dearer → buyers switch to this product → D shifts right → equilibrium P and Q rise, if supply is unchanged.

PINTS | factors that shift SUPPLY

1.3.2 The market • Your classroom mnemonic, with meaning and direction of change.

DEFINITION Supply is the quantity producers are willing and able to sell at different prices over a given period.

P

Production costs

Spending needed to produce, such as wages and materials.

Costs rise → S left. Costs fall → S right.

I

Indirect taxes

Taxes on spending/production that raise sellers’ effective costs.

Higher indirect tax → S left.

N

Natural factors

Weather, climate and natural events affecting production.

A damaging drought reduces crop supply → S left.

T

Technology

Methods and equipment used to produce goods/services.

Productivity-improving technology → S right.

S

Subsidies

Government payments supporting production and lowering effective cost.

A production subsidy increases → S right.

REMEMBER

Each PINTS factor shifts the whole supply curve. State the direction and explain the cost or capacity mechanism.

External shocks: sudden disruption such as a transport stoppage can restrict inputs and shift supply left. Natural factors include weather and crop conditions.

Chain: a production subsidy lowers effective cost → supply shifts right → equilibrium P falls and Q rises, if demand is unchanged.

Key distinction: a change in the product’s own selling price causes a movement along S; PINTS shifts the whole curve.

1.3.2 | The market

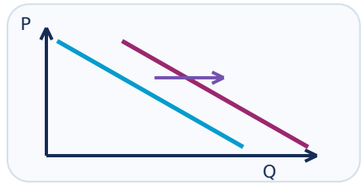
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

023 Demand and changes in demand

DEFINITION
Demand is the quantity consumers are willing and able to buy at different prices over a given period.

ILLUSTRATIVE EXAMPLE

A retailer’s winter-coat demand increases in colder months even if its own price is unchanged.



BENEFITS / USES

1. PACIFIC recalls population, advertising, related prices, income, fashion, interest rates and confidence.

2. Also learn seasonality and external shocks; branding and demographic composition matter.

LIMITATIONS / RISKS

1. An increase in interest does not become demand without purchasing power.

2. Several influences can move in opposite directions, making the overall change unclear.

DEVELOP THIS CHAIN — explain why each arrow follows

Cold season approaches → **More buyers need coats** → **Demand shifts right** → **Higher equilibrium P and Q**

JUDGEMENT / WHEN DOES IT WORK?
Own-price changes create movements along demand; a non-price change shifts the whole curve.

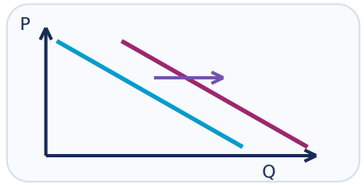
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

024 Substitutes and complements

DEFINITION
Substitutes are alternatives satisfying a similar need. Complements are products commonly used together.

ILLUSTRATIVE EXAMPLE

Tea and coffee may substitute; a console and compatible games may complement each other.



BENEFITS / USES

1. A dearer substitute can send buyers towards this product, raising its demand.

2. A cheaper complement can lower the cost of using this product, increasing its appeal.

LIMITATIONS / RISKS

1. Switching depends on how close the alternatives are and on customer loyalty.

2. Complement relationships may be weak, delayed or affected by compatibility and habits.

DEVELOP THIS CHAIN — explain why each arrow follows

Rival coffee price rises → **Some buyers switch to tea** → **Tea demand shifts right** → **Tea sales may increase**

JUDGEMENT / WHEN DOES IT WORK?
Discuss the other product’s price. A change in tea’s own price moves buyers along tea’s demand curve.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.2 | The market

DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

025 Supply and PINTS

DEFINITION
Supply is the quantity producers are willing and able to sell at different prices over a given period.

ILLUSTRATIVE EXAMPLE

A production subsidy lowers the effective cost of growing vegetables and can increase supply.



BENEFITS / USES

1. PINTS: production costs, indirect taxes, natural factors, technology and subsidies.

2. Lower costs or improved productive capacity can increase the amount offered at each price.

LIMITATIONS / RISKS

1. External shocks such as transport disruption may restrict supply despite strong demand.

2. New technology requires investment and may take time to raise productivity.

DEVELOP THIS CHAIN — explain why each arrow follows

Technology reduces input waste → **Lower cost per unit** → **Supply shifts right** → **P falls and Q rises**

JUDGEMENT / WHEN DOES IT WORK?
The market outcome assumes demand is unchanged; a higher own selling price causes movement along supply.

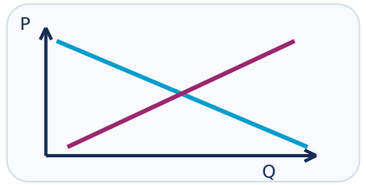
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

026 Equilibrium, shortage and surplus

DEFINITION
Equilibrium occurs where quantity demanded equals quantity supplied. A shortage is excess demand; a surplus is excess supply.

ILLUSTRATIVE EXAMPLE

At £5, buyers want 500 units but sellers offer 300: the shortage is 200 units.



BENEFITS / USES

1. Below equilibrium, shortages create upward pressure on price.

2. Above equilibrium, unsold stock creates downward pressure as sellers seek buyers.

LIMITATIONS / RISKS

1. Price adjustment may be delayed by contracts, stock policies or capacity constraints.

2. A market model simplifies reality; firms may differentiate products rather than share one price.

DEVELOP THIS CHAIN — explain why each arrow follows

Price is above equilibrium → **Stock remains unsold** → **Sellers reduce prices** → **Move towards market balance**

JUDGEMENT / WHEN DOES IT WORK?
Explain both quantity demanded and quantity supplied as price adjusts, rather than saying the demand curve shifts.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.2 | The market

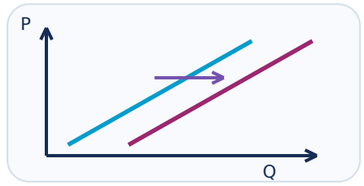
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

027 Movements, shifts and market diagrams

DEFINITION
A movement follows a change in the product’s own price. A shift changes demand or supply at every price because another influence changes.

ILLUSTRATIVE EXAMPLE

An indirect tax shifts S left; the new intersection with unchanged D has higher P and lower Q.



BENEFITS / USES

1. D right: P and Q rise; D left: both fall, holding S constant.

2. S right: P falls/Q rises; S left: P rises/Q falls, holding D constant.

LIMITATIONS / RISKS

1. Changing both curves without evidence makes the analysis ambiguous.

2. Slope alone does not establish PED; use percentage responsiveness and relevant scales.

DEVELOP THIS CHAIN — explain why each arrow follows

State the cause → **Shift the correct curve** → **Locate the new intersection** → **Explain P/Q and firm impact**

JUDGEMENT / WHEN DOES IT WORK?
Label axes, D1/D2 or S1/S2, E1/E2 and guide lines to P1/P2 and Q1/Q2.

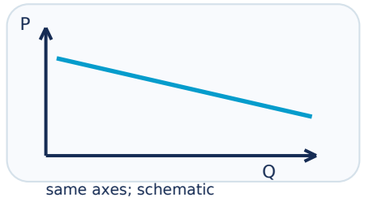
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

028 PED: calculate and interpret

DEFINITION
Price elasticity of demand measures the responsiveness of quantity demanded to a change in price.

ILLUSTRATIVE EXAMPLE

Price £10→£11: +10%; quantity 100→80: −20%; PED = −20% ÷ 10% = −2.



same axes; schematic

BENEFITS / USES

1. % change = change ÷ original × 100. PED = %ΔQd ÷ %ΔP.

2. Use magnitude: |PED| > 1 elastic; < 1 inelastic; = 1 unit elastic.

LIMITATIONS / RISKS

1. An estimate from one price range or period may not hold after a larger change.

2. Competitor action or seasonality may contaminate a measured response.

DEVELOP THIS CHAIN — explain why each arrow follows

Estimate the price response → **Predict quantity sold** → **Calculate P × Q** → **Evaluate the price decision**

JUDGEMENT / WHEN DOES IT WORK?
The usual negative sign reflects the inverse P–Q relationship. −2 is more elastic than −0.5.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.2 | The market

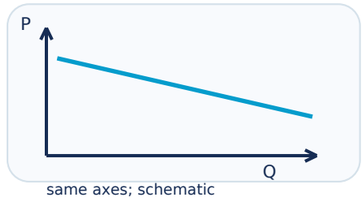
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

029 Why demand is elastic

DEFINITION
Demand is price elastic when the percentage change in quantity demanded exceeds the percentage change in price: |PED| > 1.

ILLUSTRATIVE EXAMPLE

One café's latte may be elastic because several nearby cafés sell similar drinks.



same axes; schematic

BENEFITS / USES

1. Many close substitutes and weak loyalty make switching easier after a price rise.

2. Discretionary purchases, a large income share and more adjustment time often raise responsiveness.

LIMITATIONS / RISKS

1. A necessary product category can still contain highly elastic individual brands.

2. A firm can lose revenue after raising price even if it improves receipts per unit.

DEVELOP THIS CHAIN — explain why each arrow follows

Raise latte price → **Buyers switch to nearby cafés** → **Sales fall proportionately more** → **Total revenue falls**

JUDGEMENT / WHEN DOES IT WORK?
Explain the mechanism: buyers can avoid or delay the purchase or choose an alternative. Do not infer elasticity from "luxury" alone.

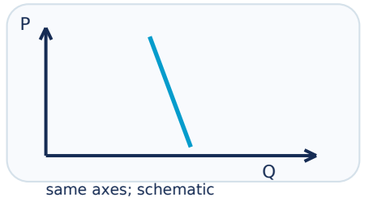
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

030 Why demand is inelastic

DEFINITION
Demand is price inelastic when the percentage change in quantity demanded is smaller than the percentage change in price: |PED| < 1.

ILLUSTRATIVE EXAMPLE

A strongly preferred low-cost daily item may lose relatively few buyers after a small price rise.



same axes; schematic

BENEFITS / USES

1. Few close substitutes, strong habit or loyalty and necessity make switching harder.

2. A small income share and little time to adjust often reduce responsiveness.

LIMITATIONS / RISKS

1. Inelastic does not mean no response: some sales are still lost after a price rise.

2. In the long run, buyers may discover alternatives, making demand more elastic.

DEVELOP THIS CHAIN — explain why each arrow follows

Raise price by 10% → **Few buyers switch** → **Quantity falls only 4%** → **Total revenue rises**

JUDGEMENT / WHEN DOES IT WORK?
Judge the specific buyers, substitutes and timeframe; a necessity is not automatically perfectly inelastic.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.2 | The market

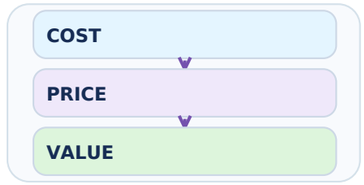
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

031 PED, pricing and total revenue

DEFINITION
Total revenue equals price × quantity sold. PED helps evaluate whether a price change is likely to increase sales income.

ILLUSTRATIVE EXAMPLE

Elastic example: £10 × 100 = £1,000; after a 10% price cut and 20% quantity rise, £9 × 120 = £1,080.



BENEFITS / USES

1. Elastic: price cut raises TR; price rise reduces TR, other things equal.

2. Inelastic: price rise raises TR; price cut reduces TR. Unit elasticity means offsetting changes locally.

LIMITATIONS / RISKS

1. Higher revenue need not mean higher profit: extra units create costs.

2. Forecast PED can change after rival reactions, a new price level or time to adapt.

DEVELOP THIS CHAIN — explain why each arrow follows

Price falls from £10 to £9 → **Quantity rises 100 to 120** → **Revenue rises by £80** → **Check extra production costs**

JUDGEMENT / WHEN DOES IT WORK?
Use actual P × Q figures when provided. Compare revenue and cost consequences before recommending a price.

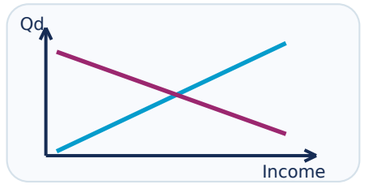
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

032 YED: calculation and types of goods

DEFINITION
Income elasticity of demand measures how responsive quantity demanded is to a change in consumer income.

ILLUSTRATIVE EXAMPLE

Income rises 5%, demand rises 10%: YED = +2. Income rises 5%, demand falls 3%: YED = −0.6.



BENEFITS / USES

1. YED = %ΔQd ÷ %Δincome. Positive = normal; negative = inferior.

2. YED > 1: income-elastic normal; 0 < YED < 1: income-inelastic normal; = 1: proportional; = 0: no response.

LIMITATIONS / RISKS

1. An inferior good is defined by income response, not poor physical quality.

2. Classification can differ by customer, income range and time period.

DEVELOP THIS CHAIN — explain why each arrow follows

Income rises → **Buyer can trade up** → **Demand for budget option falls** → **Budget option has negative YED**

JUDGEMENT / WHEN DOES IT WORK?
State the sign, size and contextual meaning: +2 implies a 1% income rise is associated with about 2% more demand, all else equal.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.2 | The market

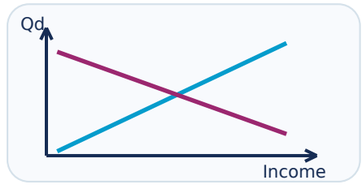
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

033 Factors influencing YED

DEFINITION
Income responsiveness depends on the nature of the product and how a particular group changes its purchasing as income changes.

ILLUSTRATIVE EXAMPLE

Basic staple consumption may change little as income grows; discretionary holidays may rise much faster.



BENEFITS / USES

1. Necessities often have lower positive YED because basic consumption is already satisfied.

2. Luxuries and optional services can gain a disproportionately large share of rising incomes.

LIMITATIONS / RISKS

1. The same offer can be a necessity for one buyer and a luxury for another.

2. As incomes rise, customers may switch between product types rather than simply buy more units.

DEVELOP THIS CHAIN — explain why each arrow follows

Income grows in target group → **Discretionary spending increases** → **Luxury demand grows faster** → **Expansion opportunity appears**

JUDGEMENT / WHEN DOES IT WORK?
Use customer circumstances and the possibility of trading up; do not assume every normal good has YED above one.

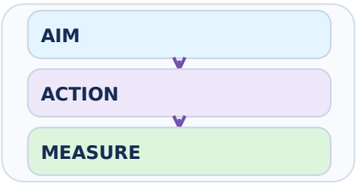
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

034 Using YED for business planning

DEFINITION
YED supports forecasts of sales, stock, staffing, capacity and product portfolios when consumer income is expected to change.

ILLUSTRATIVE EXAMPLE

With YED +1.5 and a forecast income fall of 4%, estimated demand change is −6%, all else equal.



BENEFITS / USES

1. Forecasts help avoid excess stock or missed sales when economic conditions change.

2. A range with different income responses can reduce dependence on one customer spending pattern.

LIMITATIONS / RISKS

1. Income forecasts and elasticity estimates may both be inaccurate.

2. Other demand influences can offset the income effect; abrupt capacity changes can be costly to reverse.

DEVELOP THIS CHAIN — explain why each arrow follows

Forecast income weakness → **Estimate 6% lower demand** → **Adjust stock commitments** → **Reduce unsold-stock risk**

JUDGEMENT / WHEN DOES IT WORK?
Use the estimate as one input alongside current orders, research and competitor behaviour; explain the assumptions.

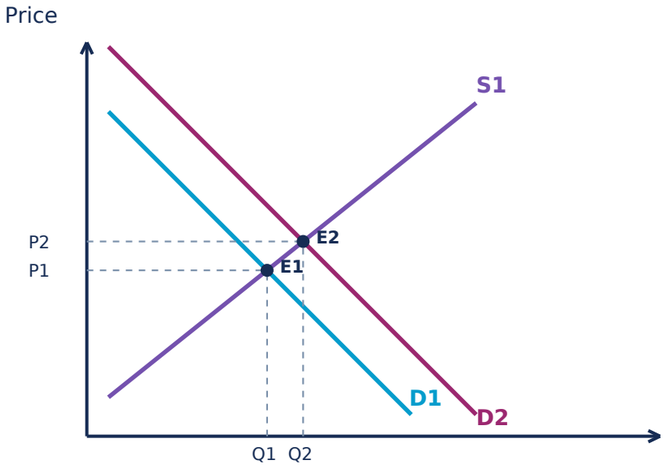
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

Market diagrams | four changes to practise

1.3.2 • Start at E1, shift one curve, find E2, then explain the price and quantity changes.

Demand increases

Advertising attracts buyers



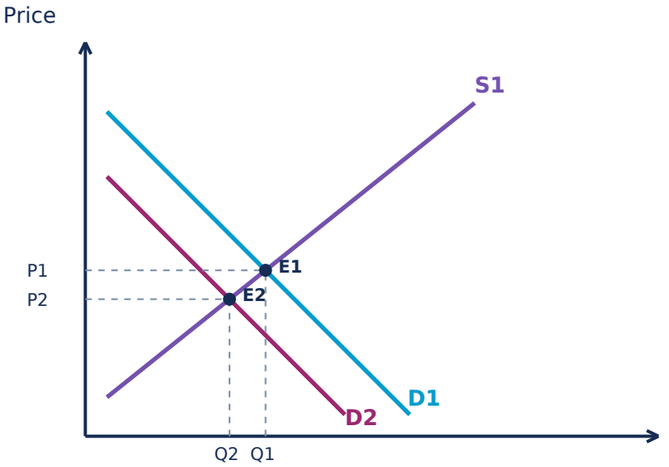
P rises • Q rises

Hold the other curve constant.

Explain: cause → curve shift → new intersection → business impact.

Demand decreases

A complement becomes dearer



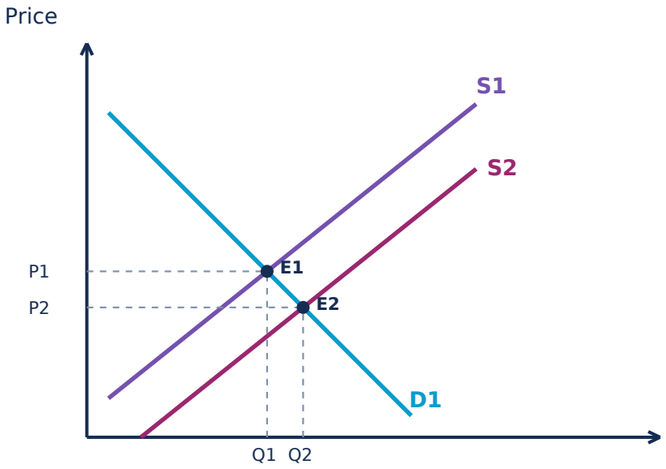
P falls • Q falls

Hold the other curve constant.

Explain: cause → curve shift → new intersection → business impact.

Supply increases

Technology lowers production cost



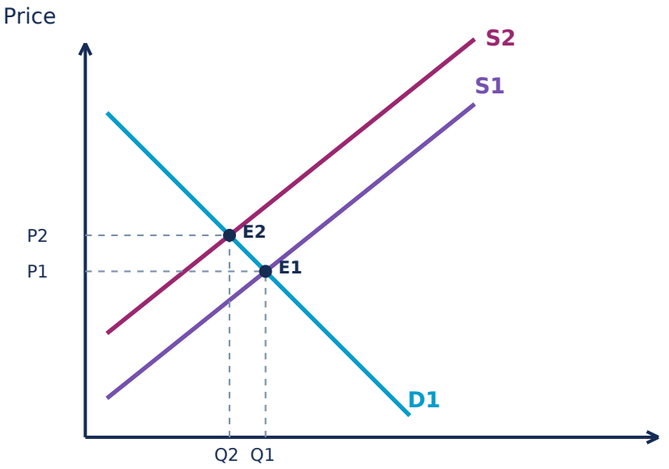
P falls • Q rises

Hold the other curve constant.

Explain: cause → curve shift → new intersection → business impact.

Supply decreases

An indirect tax raises effective cost



P rises • Q falls

Hold the other curve constant.

Explain: cause → curve shift → new intersection → business impact.

Calculation workshop | show, calculate, interpret

All figures are illustrative • Use original values for percentage changes • Carry units and signs correctly.

PED from raw data

Price £8 → £10; quantity 500 → 350.

1. %ΔP = 2 ÷ 8 × 100 = +25%.
2. %ΔQ = −150 ÷ 500 × 100 = −30%.
3. PED = −30 ÷ 25 = −1.2.
4. Demand is elastic: quantity responds proportionately more than price.

Check: do not divide either change by its new value.

Revenue before and after

Original TR = £8 × 500 = £4,000.
New TR = £10 × 350 = £3,500.
Change = −£500, or −12.5%.

The price rise reduced revenue because the quantity loss outweighed the higher price per sale.

Judge: profit still requires cost information. This does not prove the firm should always cut price.

YED and a sales forecast

Income £30,000 → £31,500: +5%.
Demand 200 → 215: +7.5%.
YED = 7.5 ÷ 5 = +1.5.

This is an income-elastic normal good for the sampled group.
If income is later forecast to fall 4%, estimated demand change = 1.5 × −4% = −6%.

Judge: other demand influences must stay unchanged.

Share, added value and mark-up

Share: £3m ÷ £15m × 100 = 20%.
If business sales rise to £3.3m but the market to £18m, share becomes 18.3%.

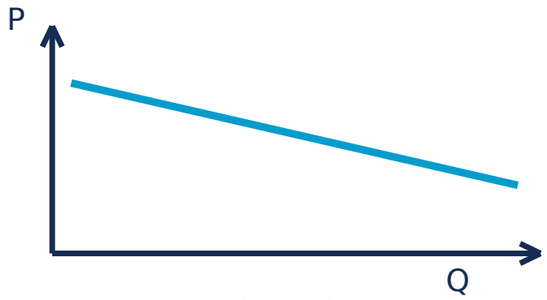
Added value: £40 price − £16 bought-in inputs = £24.
Cost-plus: £24 unit cost × 1.25 = £30.

Check: mark-up £6 ÷ £24 = 25%; margin £6 ÷ £30 = 20%. Do not confuse the two.

Elasticity | comparison and interpretation

Use the diagram to explain a decision; then test the assumptions and limitations.

Elastic demand: |PED| > 1



same axes; schematic

A price rise produces a larger percentage fall in Qd.

Often: many substitutes, weak loyalty, discretionary spending, large income share or time to switch.

Effect: a price rise reduces TR, all else equal.

Practise: redraw → label → explain one use → identify one limitation.

Inelastic demand: |PED| < 1



same axes; schematic

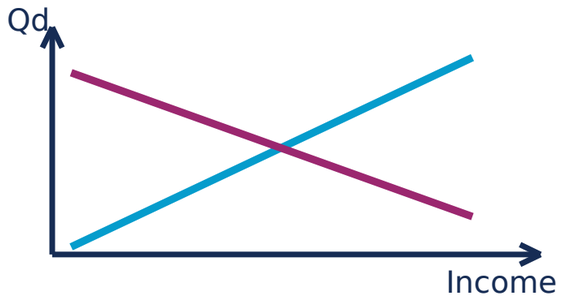
A price rise produces a smaller percentage fall in Qd.

Often: few substitutes, loyalty/habit, necessity, small income share or little adjustment time.

Effect: a price rise increases TR, all else equal.

Practise: redraw → label → explain one use → identify one limitation.

YED: follow the sign and size



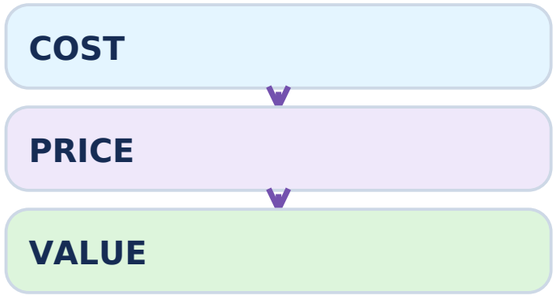
Positive: normal good. Negative: inferior good.

For normal goods, above one is income elastic; between zero and one is income inelastic.

Business use: forecast stock, capacity and the product range.

Practise: redraw → label → explain one use → identify one limitation.

Avoid the diagram trap



PED is percentage responsiveness, not simply slope. Scales and the point on a demand curve matter.

Diagrams here are schematic.

Always calculate P × Q when actual revenue figures are available.

Practise: redraw → label → explain one use → identify one limitation.

1.3.3 | Marketing mix and strategy

How should the whole marketing mix fit the market?

KNOWLEDGE → DECISION → IMPACT

Objectives

Revenue • share • brand building

Portfolio

Life cycle • extensions • Boston Matrix

Product

Design mix • waste/re-use • sourcing

Promotion

Methods • brand types • social trends

Price

All six strategies • selection factors

Place and buyers

Channels • change • mass/niche • B2B/B2C

The higher-level connection

Objective → target buyer → coherent 4Ps → customer value → conversion/loyalty → business outcome. Weigh the extra receipts against the cost of the mix.

1.3.3 | Marketing mix and strategy

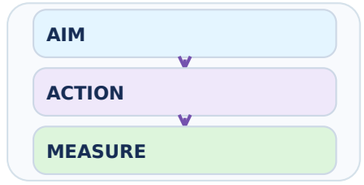
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

035 Marketing objectives and strategy

DEFINITION
Marketing objectives are targets for the marketing function. Strategy coordinates actions to reach them.

ILLUSTRATIVE EXAMPLE

A firm aims to increase market share from 10% to 12% in one year by targeting younger buyers.



BENEFITS / USES

1. Revenue, share and brand-building targets give direction to budgets and decisions.

2. Measurable objectives make it possible to compare results and adjust the strategy.

LIMITATIONS / RISKS

1. Unrealistic targets encourage wasteful spending or short-term discounting.

2. One target may conflict with another: volume growth can weaken a premium brand.

DEVELOP THIS CHAIN — explain why each arrow follows

Set a clear share target → **Identify an attractive segment** → **Coordinate the marketing mix** → **Review share against the target**

JUDGEMENT / WHEN DOES IT WORK?
Use SMART targets as a planning aid: specific, measurable, achievable, realistic and time-bound. Judge success using the stated objective.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

036 The marketing mix: product, price, promotion, place

DEFINITION
The marketing mix is the coordinated combination of product, price, promotion and place used to meet customer needs and objectives.

ILLUSTRATIVE EXAMPLE

A premium skincare product combines quality packaging, a premium price, expert promotion and selected retailers.



BENEFITS / USES

1. Consistency between the 4Ps strengthens positioning and makes the offer credible.

2. Adapting the mix to a segment improves relevance and the efficiency of spending.

LIMITATIONS / RISKS

1. Changing one element can undermine others, such as discounting an exclusive brand.

2. A successful mix needs resources and must adapt as rivals or customer needs change.

DEVELOP THIS CHAIN — explain why each arrow follows

Define premium positioning → **Align quality and price** → **Choose credible co mmunication/outlet s** → **Strengthen buyer willingness to pay**

JUDGEMENT / WHEN DOES IT WORK?
Do not evaluate a price, advertisement or channel in isolation: explain how it fits the whole offer and target market.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

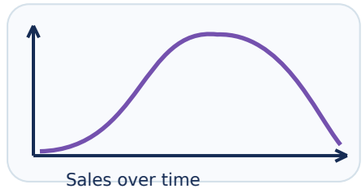
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

037 The product life cycle

DEFINITION
The product life cycle describes sales through introduction, growth, maturity and decline.

ILLUSTRATIVE EXAMPLE

An established games console may reach maturity as sales growth slows and competitors release alternatives.



BENEFITS / USES

1. The model helps adapt promotion, pricing and distribution to changing sales conditions.

2. A balanced range at different stages can reduce dependence on one declining product.

LIMITATIONS / RISKS

1. Stage boundaries are hard to identify while the market is changing.

2. Products have different paths; sales can revive after innovation or a new use.

DEVELOP THIS CHAIN — explain why each arrow follows

Sales growth slows → **Rivalry for existing buyers rises** → **Review price and product features** → **Defend sales in maturity**

JUDGEMENT / WHEN DOES IT WORK?
Introduction often needs awareness spending; growth may need capacity; maturity needs differentiation; decline requires a decision on extension, harvesting or withdrawal.

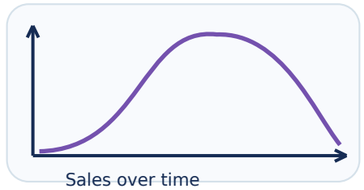
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

038 Extension strategies

DEFINITION
Extension strategies aim to prolong a product’s life and delay decline by renewing demand.

ILLUSTRATIVE EXAMPLE

A snack brand updates packaging, adds a new flavour and promotes new occasions for consumption.



BENEFITS / USES

1. Product improvements can refresh appeal while using existing brand recognition.

2. New uses, users or geographical markets can generate sales beyond the original segment.

LIMITATIONS / RISKS

1. Redesign and relaunch costs may exceed additional contribution from sales.

2. Extensions can only delay decline if the underlying need or technology is disappearing.

DEVELOP THIS CHAIN — explain why each arrow follows

Add a valued new feature → **Renew customer interest** → **Increase trial or replacement** → **Delay the fall in sales**

JUDGEMENT / WHEN DOES IT WORK?
Compare the cost and expected duration of the extension with investing in a genuinely new product.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

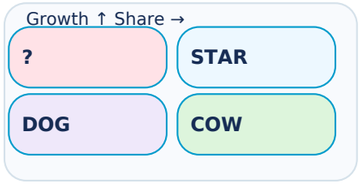
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

039 Product portfolio and the Boston Matrix

DEFINITION
A product portfolio is the range sold by a firm. The Boston Matrix compares market growth and relative market share.

ILLUSTRATIVE EXAMPLE

Relative market share can be calculated as this product's sales divided by those of its largest rival.



BENEFITS / USES

1. A portfolio spreads exposure across products and stages of development.

2. The matrix supports discussion about where to invest, maintain, harvest or divest.

LIMITATIONS / RISKS

1. Growth and share ignore factors such as margins, strategic links and customer loyalty.

2. High share does not automatically mean cash generation; costs and investment needs matter.

DEVELOP THIS CHAIN — explain why each arrow follows

Review the product range → **Compare growth and relative share** → **Identify funding priorities** → **Balance current and future earnings**

JUDGEMENT / WHEN DOES IT WORK?
Use the categories as evidence for a recommendation, not an automatic rule to abandon or fund every product in a quadrant.

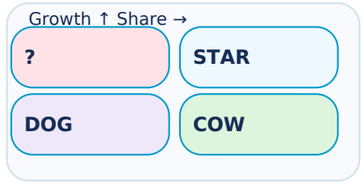
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

040 Stars

DEFINITION
A star has high relative market share in a high-growth market.

ILLUSTRATIVE EXAMPLE

An illustrative leading wearable operates in a rapidly expanding health-tracking market.



BENEFITS / USES

1. Strong share offers a position from which to capture growing demand.

2. A successful star may become a cash cow as its market matures.

LIMITATIONS / RISKS

1. Rapid growth can require substantial marketing, capacity and development spending.

2. Rivals are attracted by growth and can erode the product's position.

DEVELOP THIS CHAIN — explain why each arrow follows

Invest in a strong star → **Meet expanding demand** → **Defend relative market share** → **Build future earnings**

JUDGEMENT / WHEN DOES IT WORK?
Invest if the market's growth is sustainable and the firm can maintain a valued advantage; high growth alone does not ensure profit.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

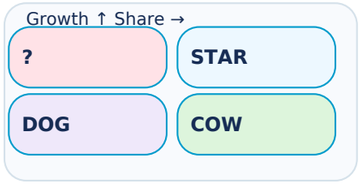
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

041 Question marks

DEFINITION
A question mark has low relative market share in a high-growth market.

ILLUSTRATIVE EXAMPLE

A small new sports-drink brand enters a fast-growing category dominated by a large rival.



BENEFITS / USES

1. Market growth provides an opportunity to build sales without relying only on taking existing demand.

2. Selective investment may establish a future star if the product has a credible advantage.

LIMITATIONS / RISKS

1. Low share may mean weak recognition, high unit costs and heavy promotion needs.

2. Investment can be lost if established rivals prevent the product gaining sufficient share.

DEVELOP THIS CHAIN — explain why each arrow follows

Research a clear USP → **Invest selectively in awareness** → **Win share in a growing market** → **Potentially develop a star**

JUDGEMENT / WHEN DOES IT WORK?
Prioritise evidence of customer fit and the cost of gaining share; not every question mark deserves continued funding.

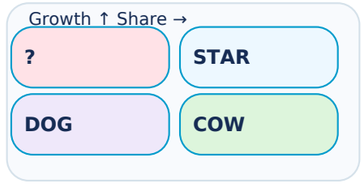
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

042 Cash cows

DEFINITION
A cash cow has high relative market share in a low-growth market.

ILLUSTRATIVE EXAMPLE

An established leading household-cleaning product operates in a mature market.



BENEFITS / USES

1. Strong established sales may generate funds beyond the spending needed to maintain position.

2. Those funds can support promising products elsewhere in the portfolio.

LIMITATIONS / RISKS

1. Underinvestment may allow quality, relevance or share to deteriorate.

2. Low market growth limits expansion and eventual decline remains possible.

DEVELOP THIS CHAIN — explain why each arrow follows

Maintain an established product → **Retain loyal buyers** → **Generate operating surplus** → **Fund selected future products**

JUDGEMENT / WHEN DOES IT WORK?
Protect the product’s position while avoiding unnecessary growth spending; check actual cash generation and margins.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

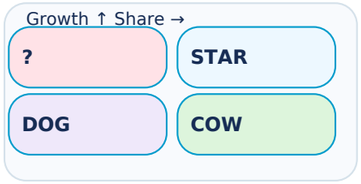
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

043 Dogs

DEFINITION
A dog has low relative market share in a low-growth market.

ILLUSTRATIVE EXAMPLE

A small outdated accessory sells in a slowly shrinking category.



BENEFITS / USES

1. Harvesting or divesting may release resources for stronger opportunities.

2. A dog may still be worth retaining if it is profitable or supports other products.

LIMITATIONS / RISKS

1. Low growth and share can limit sales opportunities and scale efficiency.

2. Maintaining the product consumes attention, stock space and promotional resources.

DEVELOP THIS CHAIN — explain why each arrow follows

Review a weak product → **Assess its true contribution** → **Withdraw if value is poor** → **Reallocate scarce resources**

JUDGEMENT / WHEN DOES IT WORK?
Do not automatically discard a dog: investigate profit, loyal niche demand, contractual needs and complementarity within the range.

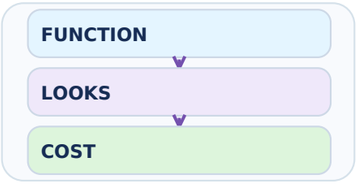
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

044 The design mix

DEFINITION
The design mix balances function, aesthetics and cost/economic manufacture when designing a product or service.

ILLUSTRATIVE EXAMPLE

A school bag must carry books safely, look attractive and be economical to manufacture.



BENEFITS / USES

1. Good function and appearance improve customer appeal and differentiation.

2. Designing for efficient manufacture can reduce waste and cost without undermining the offer.

LIMITATIONS / RISKS

1. Improving one element may compromise another, such as cheap materials weakening durability.

2. Complex designs increase development time and may require unfamiliar processes.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve useful performance → **Customers value the design** → **Greater willingness to buy** → **Support sales or a premium**

JUDGEMENT / WHEN DOES IT WORK?
Prioritise elements according to the buyer and purpose: a safety component and a fashion accessory require different balances.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

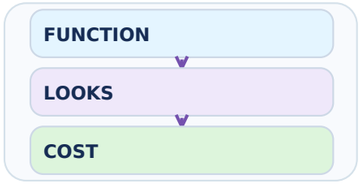
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

045 Resource depletion, waste, re-use and recycling

DEFINITION
Resource depletion is the reduction of available natural resources. Sustainable design considers resource use and a product’s wider environmental impact.

ILLUSTRATIVE EXAMPLE

Design a refillable bottle using less material, with components that can be separated for recycling.



BENEFITS / USES

1. Material efficiency can reduce waste and bought-in resource costs.

2. Re-use, repair or recycling can appeal to concerned buyers and differentiate the product.

LIMITATIONS / RISKS

1. Alternative materials, redesign or take-back arrangements may increase costs.

2. Customers may value convenience or price more than the environmental improvement.

DEVELOP THIS CHAIN — explain why each arrow follows

Design a refillable pack → **Reduce packaging per use** → **Appeal to concerned buyers** → **Support repeat refills and loyalty**

JUDGEMENT / WHEN DOES IT WORK?
Assess the whole design and actual customer use; a recyclable label alone does not prove a lower overall impact.

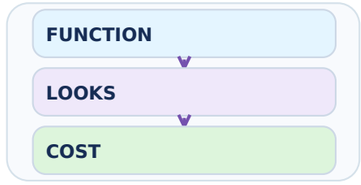
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

046 Ethical sourcing

DEFINITION
Ethical sourcing considers the social and environmental conditions under which inputs and products are obtained.

ILLUSTRATIVE EXAMPLE

A clothing business checks supplier working conditions and responsible material production.



BENEFITS / USES

1. Credible sourcing can strengthen trust and appeal to values-driven customers.

2. Stable, well-managed supplier relationships may improve reliability and reduce reputational disruption.

LIMITATIONS / RISKS

1. Monitoring and better conditions may increase purchasing and verification costs.

2. Complex supply chains make standards difficult to verify consistently.

DEVELOP THIS CHAIN — explain why each arrow follows

Choose responsible suppliers → **Reduce concern about conditions** → **Strengthen brand trust** → **Support customer loyalty**

JUDGEMENT / WHEN DOES IT WORK?
The benefit depends on credible evidence and buyers’ willingness to pay; unsupported claims can damage trust.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

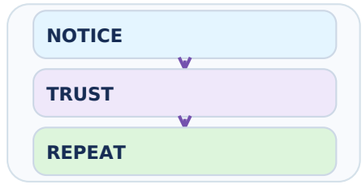
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

047 Advertising

DEFINITION
Advertising is paid, non-personal communication intended to inform, persuade or remind a target audience about an offer.

ILLUSTRATIVE EXAMPLE

A gym uses targeted local video adverts to demonstrate its facilities and coaching.



BENEFITS / USES

1. A chosen medium can reach many relevant buyers and build recognition repeatedly.

2. A clear message explains the USP and can differentiate an offer beyond price.

LIMITATIONS / RISKS

1. Production and media spending occur before the sales response is known.

2. Advertising clutter, poor targeting or low credibility can reduce its influence.

DEVELOP THIS CHAIN — explain why each arrow follows

Demonstrate a relevant benefit → **Target buyers understand the USP** → **More buyers visit the website** → **Potential membership conversions**

JUDGEMENT / WHEN DOES IT WORK?
Compare extra conversions and value per customer with spending; views alone do not establish effectiveness.

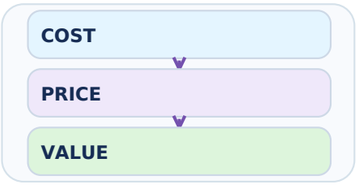
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

048 Sales promotion

DEFINITION
Sales promotion offers a short-term incentive to encourage purchase, such as discounts, coupons, samples or multi-buy deals.

ILLUSTRATIVE EXAMPLE

A new café offers a limited introductory voucher to encourage first visits.



BENEFITS / USES

1. An incentive lowers the barrier to trial or clears suitable stock quickly.

2. A timed offer can be measured through redemptions and linked to a launch objective.

LIMITATIONS / RISKS

1. Discounts reduce receipts per unit and can train customers to wait for offers.

2. Deal-seeking buyers may leave when the incentive ends, weakening long-term value.

DEVELOP THIS CHAIN — explain why each arrow follows

Offer an introductory voucher → **Encourage a first visit** → **Deliver a good experience** → **Convert some visitors to repeat buyers**

JUDGEMENT / WHEN DOES IT WORK?
Most valuable when trial leads to profitable repeat buying; calculate the cost of serving the discounted demand.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

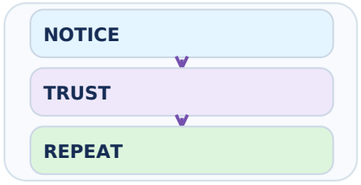
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

049 Public relations and sponsorship

DEFINITION
Public relations manages communication and reputation with stakeholders. Sponsorship funds an event, person or activity in return for association or exposure.

ILLUSTRATIVE EXAMPLE

A sports brand sponsors a local competition and shares credible community stories.



BENEFITS / USES

1. Favourable publicity or trusted association can strengthen reputation without relying only on paid adverts.

2. A well-matched sponsorship reaches a relevant audience and reinforces brand values.

LIMITATIONS / RISKS

1. Publicity is not fully controllable and negative news may dominate the message.

2. Sponsorship can be expensive; poor audience fit or reputational problems reduce its value.

DEVELOP THIS CHAIN — explain why each arrow follows

Sponsor a relevant event → **Associate with valued activity** → **Strengthen brand recognition** → **Encourage target-customer interest**

JUDGEMENT / WHEN DOES IT WORK?
Judge audience fit, credibility and measurable objectives rather than assuming any exposure helps sales.

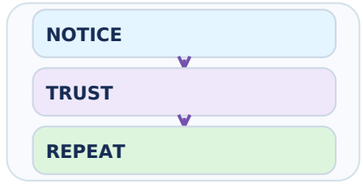
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

050 Personal selling and direct marketing

DEFINITION
Personal selling uses direct interaction to persuade or advise a buyer. Direct marketing sends targeted communications to selected potential customers.

ILLUSTRATIVE EXAMPLE

A machinery salesperson demonstrates equipment; a retailer sends relevant offers to its customer database.



BENEFITS / USES

1. Personal selling explains complex products and answers objections, useful for high-value B2B orders.

2. Direct marketing can tailor offers and measure responses from a selected audience.

LIMITATIONS / RISKS

1. Skilled salespeople and individual contact cost more per buyer than mass communication.

2. Unwanted or poorly targeted messages can be ignored and damage the relationship.

DEVELOP THIS CHAIN — explain why each arrow follows

Explain a complex machine → **Resolve a buyer's concern** → **Increase confidence in suitability** → **Win a high-value order**

JUDGEMENT / WHEN DOES IT WORK?
Use the likely value and complexity of a sale to judge whether individual attention justifies its cost.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

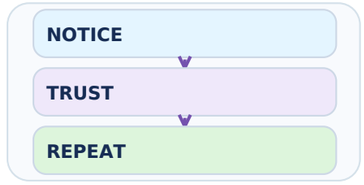
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

051 Types of branding

DEFINITION
Corporate branding uses the business identity across offers; product branding gives an individual offer its own identity; retailer own-label branding belongs to a retailer.

ILLUSTRATIVE EXAMPLE

A retailer sells groceries under its own label alongside manufacturer-branded alternatives.



BENEFITS / USES

1. Corporate branding shares recognition and can lower the cost of introducing another product.

2. Separate product brands tailor positioning; own labels differentiate a retailer and can support margins.

LIMITATIONS / RISKS

1. A failure under a corporate brand can damage the reputation of other offers.

2. Separate brands require investment; own-label success depends on reliable suppliers and quality.

DEVELOP THIS CHAIN — explain why each arrow follows

Use a trusted brand name → **Reduce buyer uncertainty** → **Encourage trial of a new offer** → **Lower the launch barrier**

JUDGEMENT / WHEN DOES IT WORK?
Choose according to desired positioning and reputation risk; a corporate umbrella and independent product identities have different trade-offs.

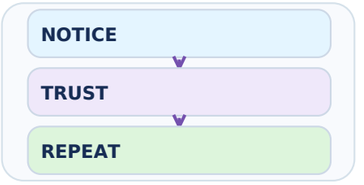
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

052 Benefits and costs of a strong brand

DEFINITION
A strong brand has recognisable associations that influence customer preference and perceived value.

ILLUSTRATIVE EXAMPLE

A trusted premium skincare brand may charge more than an unfamiliar product with similar ingredients.



BENEFITS / USES

1. A valued identity can increase perceived added value and support premium prices.

2. Loyalty reduces perceived substitutes and may make demand less price elastic.

LIMITATIONS / RISKS

1. Building and maintaining consistent quality and awareness requires sustained expenditure.

2. A product failure or inconsistent experience can quickly undermine trust.

DEVELOP THIS CHAIN — explain why each arrow follows

Deliver a consistent promise → **Build trust and loyalty** → **Reduce price sensitivity** → **Potentially sustain a premium**

JUDGEMENT / WHEN DOES IT WORK?
The premium must exceed the extra costs; branding does not make every buyer insensitive to price.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

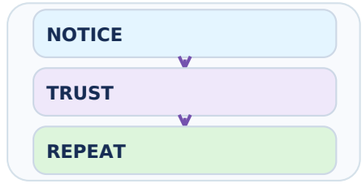
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

053 Brand building, viral and emotional promotion

DEFINITION
Brand building creates recognition and meaning through differentiation, advertising, sponsorship and social media. Viral marketing spreads through sharing; emotional branding links an offer to feelings or identity.

ILLUSTRATIVE EXAMPLE

A fitness business shares member stories to associate its brand with belonging and achievement.



BENEFITS / USES

1. Relevant stories and interaction may strengthen identification and customer engagement.

2. Customer sharing can extend reach beyond the original paid audience.

LIMITATIONS / RISKS

1. Viral reach is unpredictable and criticism can spread just as quickly.

2. Emotional messages fail if the actual experience contradicts the promised values.

DEVELOP THIS CHAIN — explain why each arrow follows

Share a credible member story → **Audience identifies with it** → **More interest and trial** → **Potentially stronger membership loyalty**

JUDGEMENT / WHEN DOES IT WORK?
Use evidence of engagement, conversions and retention; emotional appeal should reinforce a genuine product or service benefit.

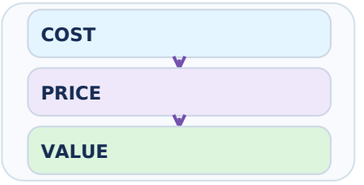
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

054 Cost-plus pricing

DEFINITION
Cost-plus pricing adds a percentage mark-up to a product’s unit cost to set its selling price.

ILLUSTRATIVE EXAMPLE

Unit cost £20; mark-up 25%: £20 × 1.25 = £25. The £5 mark-up is 20% of the selling price.



BENEFITS / USES

1. Simple to calculate when unit costs are reliable and a mark-up rule is needed.

2. Helps include costs in the decision and maintain a target return per unit sold.

LIMITATIONS / RISKS

1. It may ignore customer willingness to pay, PED and competitor prices.

2. Unit costs depend on output; unsold volume can prevent expected total cost recovery.

DEVELOP THIS CHAIN — explain why each arrow follows

Calculate accurate unit cost → **Add a suitable mark-up** → **Set a workable selling price** → **Cover costs if enough units sell**

JUDGEMENT / WHEN DOES IT WORK?
A calculated price is only useful if customers buy enough at it; mark-up on cost is not margin on revenue.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

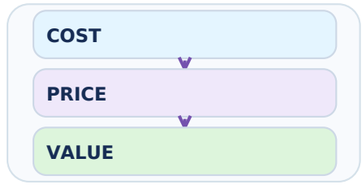
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

055 Price skimming

DEFINITION
Price skimming sets a high launch price and reduces it over time as the product reaches more price-sensitive buyers.

ILLUSTRATIVE EXAMPLE

A differentiated new device initially targets early adopters before later price reductions.



BENEFITS / USES

1. High receipts per early sale can help recover development and launch expenditure.

2. A premium launch can reinforce an innovative or exclusive position.

LIMITATIONS / RISKS

1. The initial price restricts the size of the early customer group.

2. Rivals or weak differentiation can prevent enough buyers accepting the high price.

DEVELOP THIS CHAIN — explain why each arrow follows

Launch a distinctive device → **Target willing early adopters** → **Earn high receipts per unit** → **Recover part of development cost**

JUDGEMENT / WHEN DOES IT WORK?
Most suitable when the USP is valuable and defensible; rapid imitation can shorten the period available for skimming.

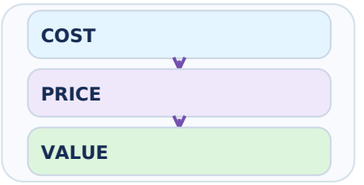
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

056 Penetration pricing

DEFINITION
Penetration pricing uses a low introductory price to attract buyers and build market presence.

ILLUSTRATIVE EXAMPLE

A streaming service offers a low launch subscription to encourage switching from established rivals.



BENEFITS / USES

1. Reduces the perceived risk of trial and can build volume and awareness quickly.

2. A larger user base may improve repeat sales or spread fixed costs over more customers.

LIMITATIONS / RISKS

1. Low prices reduce margin and may fail to cover launch or service costs.

2. Customers may be attracted by the deal rather than loyalty and leave after a price rise.

DEVELOP THIS CHAIN — explain why each arrow follows

Set a low launch price → **Encourage trial and switching** → **Build a customer base** → **Seek profitable repeat subscriptions**

JUDGEMENT / WHEN DOES IT WORK?
Check capacity and retention; fast customer growth is weak evidence of success if each new customer remains loss-making.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

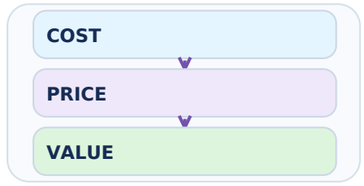
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

057 Predatory pricing

DEFINITION
Predatory pricing uses very low prices with the aim of forcing competitors out of a market.

ILLUSTRATIVE EXAMPLE

A well-funded incumbent sustains a price below a smaller rival’s viable level to weaken that rival.



BENEFITS / USES

1. For the pricing firm, a successful strategy may remove a competitor and increase future market power.

2. In the short term, very low prices may attract substantial switching and volume.

LIMITATIONS / RISKS

1. Sustained low pricing can cause large losses and invite retaliation.

2. The conduct may face competition-law restrictions; future entrants or buyers can limit later price increases.

DEVELOP THIS CHAIN — explain why each arrow follows

Cut prices aggressively → **Smaller rival loses sales** → **Rival may exit the market** → **Incumbent may gain market power**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish intent and context from a normal discount or penetration launch; a low price alone does not prove predatory conduct.

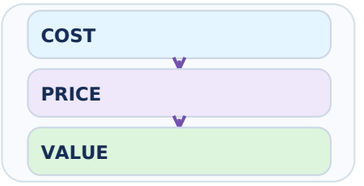
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

058 Competitive pricing

DEFINITION
Competitive pricing sets a price with reference to the prices charged by rival businesses.

ILLUSTRATIVE EXAMPLE

A petrol station checks nearby pump prices before setting its own.



BENEFITS / USES

1. Helps retain customers where products are close substitutes and price comparisons are easy.

2. Provides a practical benchmark in a market where a firm has little pricing power.

LIMITATIONS / RISKS

1. Following rivals may leave inadequate margin if this firm’s costs are higher.

2. Matching cuts can intensify price rivalry and discourage valuable differentiation.

DEVELOP THIS CHAIN — explain why each arrow follows

Keep price near close rivals → **Avoid looking poor value** → **Retain price-aware buyers** → **Protect sales volume**

JUDGEMENT / WHEN DOES IT WORK?
Price at the appropriate value position rather than automatically matching the cheapest rival; compare cost structures and service differences.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

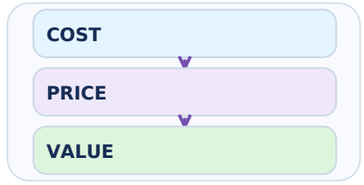
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

059 Psychological pricing

DEFINITION
Psychological pricing sets prices to influence buyers’ perceptions of value, affordability or quality.

ILLUSTRATIVE EXAMPLE

A retailer uses £9.99 rather than £10; a premium brand may avoid bargain-looking price endings.



BENEFITS / USES

1. A price just below a threshold may increase perceived affordability.

2. A price consistent with premium positioning can signal quality or exclusivity.

LIMITATIONS / RISKS

1. Experienced or comparison-focused buyers may be unaffected by the presentation.

2. A low-looking price can conflict with premium quality claims or reduce receipts unnecessarily.

DEVELOP THIS CHAIN — explain why each arrow follows

Set price below a threshold → **Offer feels more affordable** → **Some buyers choose it** → **Potential volume increase**

JUDGEMENT / WHEN DOES IT WORK?
Buyer perceptions and product context determine the effect; do not assume a particular price ending always increases demand.

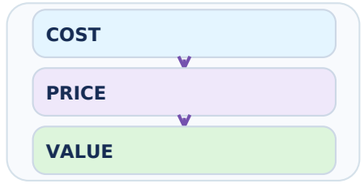
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

060 Choosing price and responding to online comparison

DEFINITION
The appropriate pricing strategy depends on the offer, buyers, competition, business costs and objectives.

ILLUSTRATIVE EXAMPLE

A unique launch may skim; a close substitute on a comparison site may need a more competitive price.



BENEFITS / USES

1. Strong USPs, brand loyalty and inelastic demand provide more scope for premium pricing.

2. Life-cycle stage and the need to cover costs help align price with the firm’s situation.

LIMITATIONS / RISKS

1. Online comparison makes unjustified premiums easier to challenge.

2. Price cuts can increase volume while reducing profit if extra receipts do not cover costs.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify close substitutes → **Estimate high price sensitivity** → **Test the revenue consequences** → **Select a defensible price**

JUDGEMENT / WHEN DOES IT WORK?
Consider all required factors: differentiation, PED, competition, brand, life-cycle stage, costs/profit; online selling may lower some costs but adds others.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

061 Distribution: two-, three- and four-stage channels

DEFINITION
A distribution channel is the route through which an offer reaches the consumer. Intermediaries operate between the producer and final buyer.

ILLUSTRATIVE EXAMPLE

Four-stage: producer → wholesaler → retailer → consumer; three-stage omits the wholesaler; two-stage is direct.



BENEFITS / USES

1. Wholesalers break bulk and retailers provide access, local service and customer reach.

2. Direct channels retain control of presentation, customer contact and intermediary margin.

LIMITATIONS / RISKS

1. More intermediaries can reduce producer receipts and weaken control over the final experience.

2. Direct selling requires the producer to fund marketing, fulfilment, returns and customer service.

DEVELOP THIS CHAIN — explain why each arrow follows

Use a retailer network → **Gain access to more outlets** → **Reach additional buyers** → **Potential sales-volume increase**

JUDGEMENT / WHEN DOES IT WORK?
Choose by product, market and capability: nationwide low-value goods and a customised service may need very different routes.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

062 Changing distribution methods

DEFINITION
Digital distribution changes how customers find, order, receive and return products or services. Omnichannel connects physical and digital routes.

ILLUSTRATIVE EXAMPLE

A retailer combines a website, mobile ordering, home delivery and click-and-collect.



BENEFITS / USES

1. Convenience and wider geographic access may increase conversion and sales.

2. Direct digital contact generates customer data that can improve targeted offers and service.

LIMITATIONS / RISKS

1. Delivery, returns, systems and platform charges can absorb apparent savings.

2. Poor coordination between online stock and stores damages service and can create channel conflict.

DEVELOP THIS CHAIN — explain why each arrow follows

Enable convenient online ordering → **Reduce purchase effort** → **More customers complete purchases** → **Potential revenue growth**

JUDGEMENT / WHEN DOES IT WORK?
Evaluate total fulfilment cost and service reliability; removing a shop or intermediary does not remove its functions.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

063 Strategy for mass and niche markets

DEFINITION
A market strategy aligns the marketing mix with the size and needs of the chosen customer group.

ILLUSTRATIVE EXAMPLE

A mass brand uses broad reach and consistent products; a niche specialist offers tailored features and focused communication.



BENEFITS / USES

1. Mass strategies can exploit broad distribution, high volume and scale efficiency.

2. Niche strategies can emphasise expertise, specialist service and differentiated value.

LIMITATIONS / RISKS

1. Mass spending can be wasteful if the product does not suit enough people.

2. Niche targeting limits demand and can become vulnerable to one group’s changing preferences.

DEVELOP THIS CHAIN — explain why each arrow follows

Define a specialist segment → **Tailor product and message** → **Improve fit with its needs** → **Support loyalty or premium pricing**

JUDGEMENT / WHEN DOES IT WORK?
The entire mix must fit the group; niche does not automatically mean expensive, and mass does not always mean low quality.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

064 B2B and B2C marketing strategy

DEFINITION
B2B sells to organisations; B2C sells to individual consumers. The buying context influences the appropriate mix.

ILLUSTRATIVE EXAMPLE

An equipment supplier may demonstrate machinery and negotiate service terms; a snack brand uses broad consumer promotion.



BENEFITS / USES

1. B2B relationship selling can explain technical value and win repeat high-value contracts.

2. B2C segmentation and accessible distribution can reach many individual buyers efficiently.

LIMITATIONS / RISKS

1. B2B dependence on a few large clients raises bargaining and lost-contract risk.

2. Broad B2C promotion can be expensive, with frequent switching and intense rivalry.

DEVELOP THIS CHAIN — explain why each arrow follows

Demonstrate machine reliability → **Lower the buyer’s perceived risk** → **Build confidence in long-term value** → **Win a business order**

JUDGEMENT / WHEN DOES IT WORK?
Avoid stereotypes: B2B buyers also value brands, and B2C buyers can make careful high-value decisions. Match the actual purchase.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.3 | Marketing mix and strategy

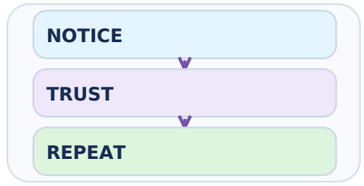
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

065 Consumer behaviour and customer loyalty

DEFINITION
Customer loyalty is the tendency to prefer and repeatedly buy from the same business or brand.

ILLUSTRATIVE EXAMPLE

A café combines reliable quality, friendly service, convenient ordering and a reward scheme.



BENEFITS / USES

1. Repeat buying can increase customer lifetime receipts and lower replacement-customer needs.

2. Satisfied customers can recommend the business and become less willing to switch for small price differences.

LIMITATIONS / RISKS

1. Rewards and high service standards cost money; some buyers remain deal-focused.

2. One poor experience or a better rival offer may undermine past loyalty.

DEVELOP THIS CHAIN — explain why each arrow follows

Deliver a consistent experience → **Increase satisfaction and trust** → **Encourage repeat purchases** → **Support more stable sales**

JUDGEMENT / WHEN DOES IT WORK?
Understand the reason for repeat buying: habit, convenience, price and attachment imply different risks and suitable strategies.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

Connect this section

Objective → target buyer → coherent 4Ps → customer value → conversion/loyalty → business outcome. Weigh the extra receipts against the cost of the mix.

Self-check before moving on

1. Define the key terms without looking.

2. Choose two distinct arguments and explain why each matters.

3. Apply the point to a specific product, buyer or worker.

4. Explain a condition that could change your judgement.

Product models | use and limitation

Use the diagram to explain a decision; then test the assumptions and limitations.

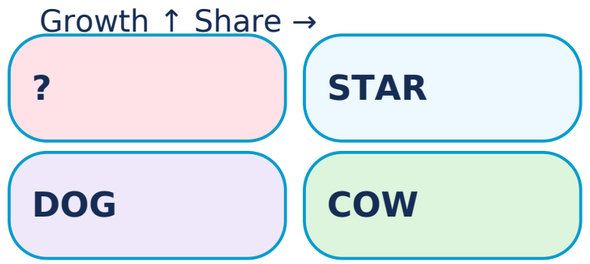
Life cycle and the changing mix



Introduction: build awareness; low sales and launch costs.
Growth: sales rise; expand appropriate access.
Maturity: slower growth and rivalry; differentiate.
Decline: assess extension or withdrawal.

Practise: redraw → label → explain one use → identify one limitation.

Boston Matrix: allocation, not certainty

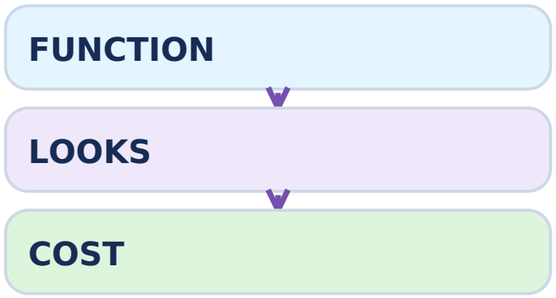


Stars: high share/high growth.
Question marks: low share/high growth.
Cash cows: high share/low growth.
Dogs: low share/low growth.

Check profit, investment need and product links before allocating resources.

Practise: redraw → label → explain one use → identify one limitation.

Design and social trends



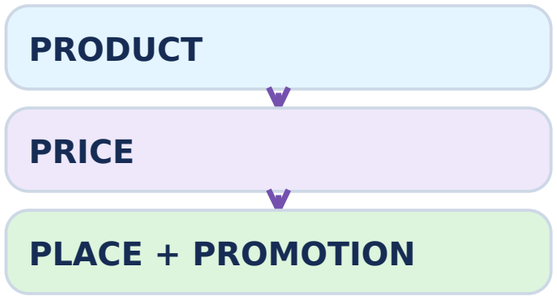
Balance function, appearance and economic manufacture.

Resource concerns may favour waste reduction, re-use, recycling and repair.

Ethical sourcing adds supply-chain responsibility; check cost and buyer value.

Practise: redraw → label → explain one use → identify one limitation.

Market-specific coherence



Mass: broad offer and access.
Niche: specialist relevance.
B2B: suitability, reliability and relationships.
B2C: varied individual needs.

Connect all four Ps to the actual target group.

Practise: redraw → label → explain one use → identify one limitation.

1.3.4 | Managing people

How can people decisions improve performance?

KNOWLEDGE → DECISION → IMPACT

Staffing

Asset/cost • flexibility • relationships

Recruit and select

Process • internal/external • costs

Training

Induction • on/off-the-job • transfer

Organise

Authority • chain/span • structures

Motivate

Four theories • financial/non-financial methods

Lead

Management vs leadership • four styles • growth

The higher-level connection

People decision → ability, effort or coordination → productivity/quality/retention → cost and customer outcomes. Distinguish skill from motivation and allow for short-run disruption.

1.3.4 | Managing people

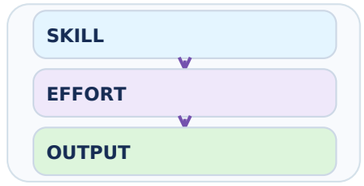
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

066 Staff as an asset or a cost

DEFINITION
An asset approach sees staff as an investment that adds value; a cost approach emphasises controlling labour expenditure.

ILLUSTRATIVE EXAMPLE

A specialist hotel invests in coaching while matching staffing hours carefully to bookings.



BENEFITS / USES

1. Investment in skill and engagement may improve quality, productivity and loyalty.

2. Cost control can reduce idle hours and protect margins in a price-sensitive business.

LIMITATIONS / RISKS

1. Training and better rewards increase current spending before benefits appear.

2. Excessive cost cutting can cause turnover, skill shortages and poorer service.

DEVELOP THIS CHAIN — explain why each arrow follows

Invest in service skills → **Fewer customer mistakes** → **Higher satisfaction and retention** → **Protect repeat bookings**

JUDGEMENT / WHEN DOES IT WORK?
Balance labour cost against the value staff create; minimum spending is not automatically the lowest long-run cost.

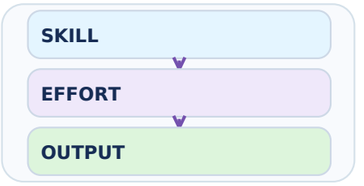
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

067 Multi-skilling

DEFINITION
Multi-skilling develops employees’ ability to perform more than one task or role.

ILLUSTRATIVE EXAMPLE

A café trains counter staff to operate the till, prepare drinks and manage stock.



BENEFITS / USES

1. Employees can move to bottlenecks or cover absence, maintaining service.

2. Greater variety and capability can improve development and reduce repetitive boredom.

LIMITATIONS / RISKS

1. Training takes time and money and initially reduces available productive hours.

2. Employees may be less specialised or feel extra duties are not fairly rewarded.

DEVELOP THIS CHAIN — explain why each arrow follows

Train staff across two roles → **Move them to the busy station** → **Reduce waiting time** → **Protect customer conversion**

JUDGEMENT / WHEN DOES IT WORK?
Most valuable where tasks are compatible and demand fluctuates; specialist safety-critical tasks still need deep expertise.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

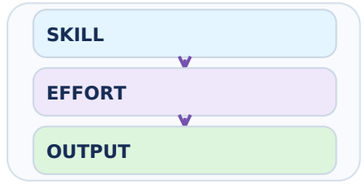
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

068 Part-time and temporary employees

DEFINITION
Part-time staff work fewer hours than full-time staff. Temporary staff are employed for a limited period or purpose.

ILLUSTRATIVE EXAMPLE

A retailer hires part-time evening staff and temporary workers for a seasonal peak.



BENEFITS / USES

1. Part-time shifts can match predictable busy hours and reduce unnecessary labour spending.

2. Temporary contracts add capacity without committing to year-round staffing levels.

LIMITATIONS / RISKS

1. More individuals and changing rosters increase coordination and training needs.

2. Temporary staff may have less experience or commitment, reducing consistency.

DEVELOP THIS CHAIN — explain why each arrow follows

Add staff for the peak → **Match hours to customer traffic** → **Reduce queues and missed sales** → **Control off-peak labour cost**

JUDGEMENT / WHEN DOES IT WORK?
The saving depends on reliable scheduling and service quality; temporary does not necessarily mean part-time.

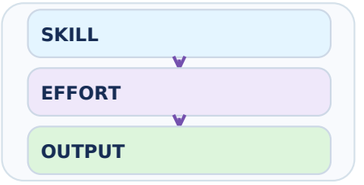
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

069 Zero-hour contracts

DEFINITION
A zero-hour contract does not guarantee a minimum number of working hours.

ILLUSTRATIVE EXAMPLE

An events business offers shifts when bookings require additional staff.



BENEFITS / USES

1. Hours can be adjusted to uncertain demand, reducing payment for unused capacity.

2. Some workers value the ability to accept work around other commitments.

LIMITATIONS / RISKS

1. Uncertain income may reduce loyalty, wellbeing and willingness to remain.

2. Experienced workers may be unavailable when called, harming continuity and service.

DEVELOP THIS CHAIN — explain why each arrow follows

Match offered shifts to bookings → **Avoid unnecessary paid hours** → **Reduce idle labour spending** → **Protect event margins**

JUDGEMENT / WHEN DOES IT WORK?
Suitable flexibility requires a dependable pool of trained workers; lower guaranteed hours can create hidden recruitment and quality costs.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

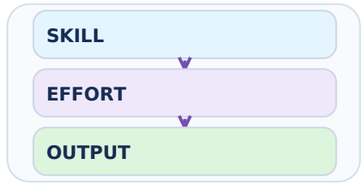
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

070 Flexible hours and home working

DEFINITION
Flexible hours vary when work is done; home working changes where suitable work is performed.

ILLUSTRATIVE EXAMPLE

A design team works from home on focused tasks and agrees common hours for collaboration.



BENEFITS / USES

1. Better fit with personal commitments may improve retention and employee satisfaction.

2. Reduced commuting and premises needs can save time or costs for suitable roles.

LIMITATIONS / RISKS

1. Isolation, weak communication and blurred boundaries may reduce wellbeing and teamwork.

2. Equipment, supervision and information coordination need investment; some work requires a physical site.

DEVELOP THIS CHAIN — explain why each arrow follows

Give suitable staff schedule control → **Improve work-life fit** → **Reduce avoidable departures** → **Lower replacement costs**

JUDGEMENT / WHEN DOES IT WORK?
Judge by task and employee needs. Remote working is a location arrangement, not automatically flexible hours.

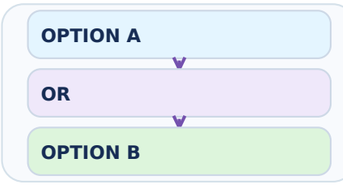
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

071 Outsourcing

DEFINITION
Outsourcing pays an external organisation to carry out a business activity.

ILLUSTRATIVE EXAMPLE

A small retailer buys specialist payroll support rather than employing an in-house payroll team.



BENEFITS / USES

1. Access to specialist expertise can improve accuracy without building the skill internally.

2. The business can focus on core activities and adjust external capacity as needed.

LIMITATIONS / RISKS

1. Dependence on the supplier can weaken control over standards and timing.

2. Contract charges, switching costs or poor communication can offset apparent savings.

DEVELOP THIS CHAIN — explain why each arrow follows

Use specialist payroll support → **Reduce payroll errors** → **Free manager time** → **Focus on customer operations**

JUDGEMENT / WHEN DOES IT WORK?
Compare total service quality and cost, not just staff numbers saved; specify responsibilities and monitor the provider.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

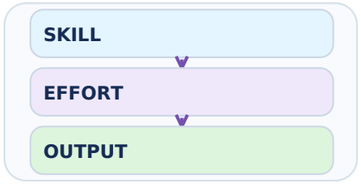
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

072 Dismissal and redundancy

DEFINITION
Dismissal ends an employee’s contract, for example for conduct or capability. Redundancy removes employment because the role is no longer needed.

ILLUSTRATIVE EXAMPLE

A role disappears after a branch closes; this differs from ending employment for serious misconduct.



BENEFITS / USES

1. Appropriate dismissal can address persistent performance or conduct problems.

2. Redundancy can align workforce size with a genuine reduction in required activity.

LIMITATIONS / RISKS

1. Both can create financial and management costs and require fair procedures.

2. Redundancy can damage morale, remove knowledge and create insecurity among remaining staff.

DEVELOP THIS CHAIN — explain why each arrow follows

A service is discontinued → **A role is no longer required** → **Reduce future labour spending** → **Adapt to changed activity**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish the reason for the decision and weigh immediate costs, future needs and effects on those who remain.

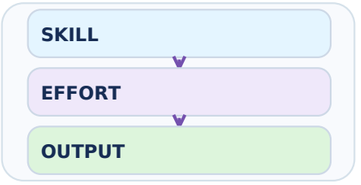
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

073 Individual relations and collective bargaining

DEFINITION
An individual approach negotiates terms with a worker; collective bargaining negotiates with employee representatives, often a union.

ILLUSTRATIVE EXAMPLE

Representatives negotiate a shared agreement on pay and working hours for a large employee group.



BENEFITS / USES

1. An individual approach can reflect particular skills and circumstances.

2. Collective discussion can give employees a voice and establish clear, consistent terms.

LIMITATIONS / RISKS

1. Individual negotiation may create perceived unfairness or inconsistent arrangements.

2. Collective disagreement can delay changes, raise labour costs or disrupt relations.

DEVELOP THIS CHAIN — explain why each arrow follows

Discuss concerns with representatives → **Agree workable conditions** → **Increase acceptance of change** → **Reduce disruption to output**

JUDGEMENT / WHEN DOES IT WORK?
Effectiveness depends on trust, bargaining power and common interests; neither approach automatically prevents conflict.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

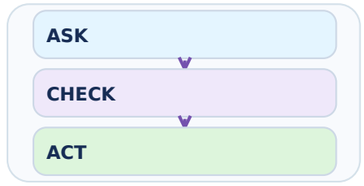
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

074 Recruitment and selection process

DEFINITION
Recruitment attracts applicants; selection chooses the applicant most suitable for a vacancy. A job description specifies duties; a person specification sets the skills and qualities required.

ILLUSTRATIVE EXAMPLE

Identify a vacancy → job description/person specification → advertise → shortlist → interview/test → appoint.



BENEFITS / USES

1. Clear duties and criteria attract more relevant applications and improve comparison.

2. Suitable interviews, tests and checks reduce the risk of appointing a poor match.

LIMITATIONS / RISKS

1. Advertising, screening and interviews use money and staff time.

2. Subjective criteria or biased interviews may overlook capable applicants.

DEVELOP THIS CHAIN — explain why each arrow follows

Define the skills required → **Assess evidence against criteria** → **Choose a better role match** → **Improve likely performance**

JUDGEMENT / WHEN DOES IT WORK?
Use methods relevant to the task: a work sample can reveal competence that an interview answer alone cannot establish.

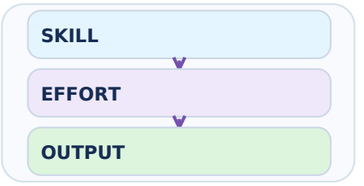
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

075 Internal recruitment

DEFINITION
Internal recruitment fills a vacancy with an existing employee.

ILLUSTRATIVE EXAMPLE

A retailer promotes an experienced supervisor to branch manager.



BENEFITS / USES

1. The employer knows past performance; induction may be quicker and less costly.

2. Visible progression can motivate staff and retain organisational knowledge.

LIMITATIONS / RISKS

1. A limited candidate pool may lack the new skills the role needs.

2. Promotion leaves another vacancy and can disappoint unsuccessful colleagues.

DEVELOP THIS CHAIN — explain why each arrow follows

Offer a credible promotion route → **Encourage employee development** → **Retain experienced staff** → **Lower repeated replacement needs**

JUDGEMENT / WHEN DOES IT WORK?
Most suitable when a capable internal candidate exists; familiarity is not proof of suitability for a different role.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

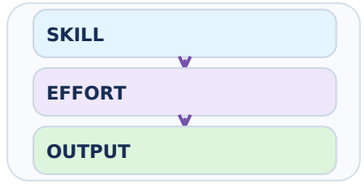
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

076 External recruitment

DEFINITION
External recruitment seeks applicants from outside the organisation.

ILLUSTRATIVE EXAMPLE

A growing retailer recruits an experienced e-commerce specialist from another industry.



BENEFITS / USES

1. A wider pool improves access to skills unavailable internally.

2. Fresh ideas and experience can challenge outdated routines.

LIMITATIONS / RISKS

1. Advertising, agency costs, screening and induction may be greater.

2. Fit and performance are less certain; the employee needs time to understand the organisation.

DEVELOP THIS CHAIN — explain why each arrow follows

Recruit a missing specialist skill → **Improve digital decisions** → **Increase campaign effectiveness** → **Support relevant sales growth**

JUDGEMENT / WHEN DOES IT WORK?
The benefit depends on the skill gap and fit; compare against developing internal staff and the urgency of the need.

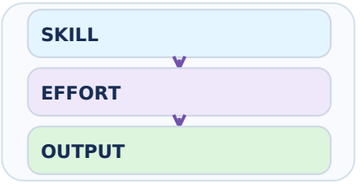
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

077 Costs of recruitment, selection and training

DEFINITION
Employment development costs include direct payments, staff time and output forgone while hiring or learning.

ILLUSTRATIVE EXAMPLE

Costs can include adverts, agency fees, tests, interview time, course fees, travel, cover and supervised practice.



BENEFITS / USES

1. A good appointment can reduce errors and repeated hiring costs.

2. Effective training may generate lasting productivity and quality benefits beyond its immediate cost.

LIMITATIONS / RISKS

1. Up-front spending and lost productive time can pressure limited resources.

2. A poor appointment or early departure can leave costs unrecovered.

DEVELOP THIS CHAIN — explain why each arrow follows

Spend on careful selection → **Reduce a poor-match appointment** → **Lower repeated hiring and induction** → **Preserve experienced capacity**

JUDGEMENT / WHEN DOES IT WORK?
Compare total cost with likely value over time; cheap recruitment can be expensive if turnover and errors remain high.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

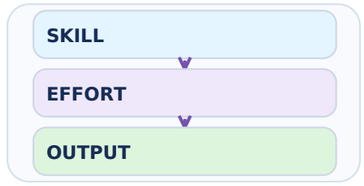
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

078 Induction training

DEFINITION
Induction introduces a new employee to the organisation, role, people, expectations, systems and procedures.

ILLUSTRATIVE EXAMPLE

A hotel introduces new staff to safety routines, booking software and service standards.



BENEFITS / USES

1. Clear guidance helps employees settle and become productive sooner.

2. Early understanding of rules and standards can reduce errors and avoidable incidents.

LIMITATIONS / RISKS

1. Trainers and new staff spend time away from normal productive activity.

2. A rushed information-heavy induction may not translate into confident practical performance.

DEVELOP THIS CHAIN — explain why each arrow follows

Explain the service procedure → **New staff understand expectations** → **Fewer early mistakes** → **More consistent customer experience**

JUDGEMENT / WHEN DOES IT WORK?
Prioritise essential information and follow up through practice; a completed presentation does not prove competence.

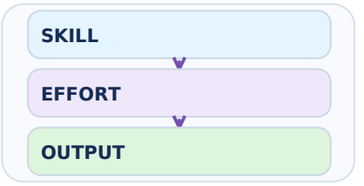
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

079 On-the-job training

DEFINITION
On-the-job training develops skills while employees carry out workplace tasks under guidance.

ILLUSTRATIVE EXAMPLE

An experienced barista demonstrates a process, supervises practice and corrects errors.



BENEFITS / USES

1. Learning is directly relevant to the equipment, customers and task.

2. Employees apply feedback immediately and may learn without separate course fees or travel.

LIMITATIONS / RISKS

1. Mistakes during training can affect quality, safety or customer experience.

2. The trainer loses productive time and may pass on inefficient habits.

DEVELOP THIS CHAIN — explain why each arrow follows

Coach a real work task → **Correct errors as they occur** → **Improve task accuracy** → **Reduce later waste and rework**

JUDGEMENT / WHEN DOES IT WORK?
Most suitable with a competent trainer, protected practice and manageable risk; not every task is safe to learn through live mistakes.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

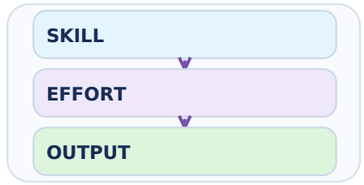
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

080 Off-the-job training

DEFINITION
Off-the-job training develops skills away from normal working duties, often using specialist instructors or external courses.

ILLUSTRATIVE EXAMPLE

A technician attends a specialist course before introducing a new production method.



BENEFITS / USES

1. Expert instruction can introduce knowledge unavailable inside the business.

2. Protected learning time reduces interruptions and can expose staff to better practice elsewhere.

LIMITATIONS / RISKS

1. Fees, travel, cover and time away increase costs and reduce current capacity.

2. Methods may not fit the workplace or may be forgotten without practical application.

DEVELOP THIS CHAIN — explain why each arrow follows

Learn a specialist method → **Apply it back at work** → **Improve process consistency** → **Reduce defects or delays**

JUDGEMENT / WHEN DOES IT WORK?
Plan how the employee will practise and share learning; course attendance alone does not establish performance improvement.

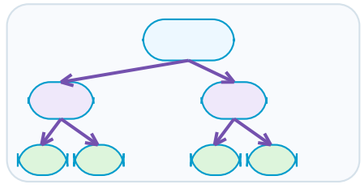
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

081 Hierarchy, chain of command and span

DEFINITION
Hierarchy is the set of authority levels. Chain of command is the reporting line. Span of control is the number directly supervised by a manager.

ILLUSTRATIVE EXAMPLE

A branch manager supervises six team leaders, each reporting along a defined chain.



BENEFITS / USES

1. Clear authority supports accountability and coordination of decisions.

2. A narrow span allows closer coaching; a wider span can lower manager costs and support autonomy.

LIMITATIONS / RISKS

1. Long reporting chains may delay or distort information.

2. An overly wide span can overload a manager; an unnecessary narrow span raises overheads.

DEVELOP THIS CHAIN — explain why each arrow follows

Widen a suitable span → **Employ fewer managers** → **Reduce management salaries** → **Potentially lower overheads**

JUDGEMENT / WHEN DOES IT WORK?
Choose according to staff competence, task complexity and support systems; wider is not automatically more efficient.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

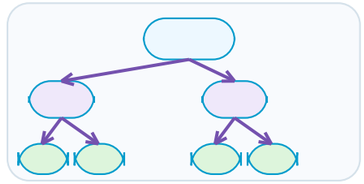
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

082 Tall organisational structures

DEFINITION
A tall structure has relatively many levels of hierarchy, commonly with narrower spans of control.

ILLUSTRATIVE EXAMPLE

A large traditional chain has supervisors, department managers, branch managers and regional managers.



BENEFITS / USES

1. Closer supervision may support inexperienced staff and consistent standards.

2. More management levels create clearer promotion steps and specialist oversight.

LIMITATIONS / RISKS

1. Long communication routes slow decisions and can distort messages.

2. Additional managers raise costs and may reduce employees' sense of autonomy.

DEVELOP THIS CHAIN — explain why each arrow follows

Add specialist supervision → **Give staff closer support** → **Reduce performance errors** → **Improve consistency**

JUDGEMENT / WHEN DOES IT WORK?
Useful oversight must justify its cost and delay; urgent customer decisions may suffer if every issue travels upwards.

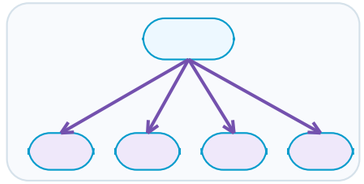
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

083 Flat organisational structures

DEFINITION
A flat structure has relatively few levels of hierarchy, commonly with wider spans of control.

ILLUSTRATIVE EXAMPLE

A small software studio allows experienced developers to communicate directly with the founder.



BENEFITS / USES

1. Short communication paths support faster decisions and reduce management overheads.

2. Greater autonomy may motivate capable employees and encourage initiative.

LIMITATIONS / RISKS

1. Managers may become overloaded and provide insufficient individual support.

2. Fewer promotion levels can limit formal career progression and create role ambiguity.

DEVELOP THIS CHAIN — explain why each arrow follows

Remove an unnecessary level → **Shorten the decision route** → **Respond sooner to customers** → **Improve service responsiveness**

JUDGEMENT / WHEN DOES IT WORK?
A flat structure works better with skilled, trusted staff and clear responsibilities; delayering can also increase workloads.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

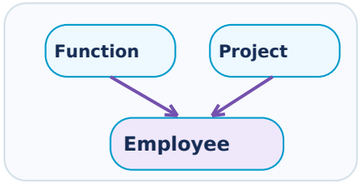
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

084 Matrix structures

DEFINITION
A matrix structure combines reporting across functions and projects; an employee may report to more than one manager.

ILLUSTRATIVE EXAMPLE

A designer reports to both the design manager and the manager of a new-product project.



BENEFITS / USES

1. Projects draw together specialist expertise and improve cross-functional collaboration.

2. Flexible project teams can focus knowledge on a shared product or customer problem.

LIMITATIONS / RISKS

1. Dual authority can create conflicting deadlines and uncertainty over priorities.

2. Coordination meetings and negotiated responsibility add time and managerial complexity.

DEVELOP THIS CHAIN — explain why each arrow follows

Form a cross-functional team → **Combine specialist perspectives** → **Resolve design issues sooner** → **Improve the final product**

JUDGEMENT / WHEN DOES IT WORK?
Establish who resolves conflicts and evaluates work; expertise sharing only helps if authority and communication are clear.

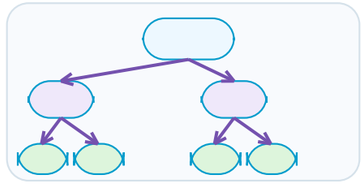
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

085 Centralisation

DEFINITION
Centralisation concentrates important decision-making authority at senior levels.

ILLUSTRATIVE EXAMPLE

Head office sets all branch prices and brand standards.



BENEFITS / USES

1. Consistent policies protect the brand and allow senior expertise to guide decisions.

2. Central control can coordinate resources and prevent conflicting local actions.

LIMITATIONS / RISKS

1. Senior managers can become bottlenecks, slowing responses to local issues.

2. Local knowledge and employee initiative may be underused, weakening motivation.

DEVELOP THIS CHAIN — explain why each arrow follows

Keep pricing at head office → **Apply consistent standards** → **Avoid conflicting branch offers** → **Protect national brand positioning**

JUDGEMENT / WHEN DOES IT WORK?
Most useful where consistency or coordination is critical; routine local issues may not need senior approval.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

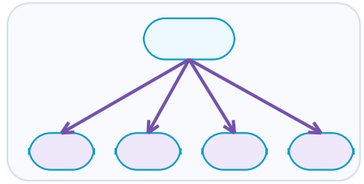
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

086 Decentralisation

DEFINITION
Decentralisation distributes decision-making authority to lower levels, local units or teams.

ILLUSTRATIVE EXAMPLE

Branch managers adapt local promotions to nearby customers and rivals.



BENEFITS / USES

1. Local knowledge can improve relevance and the speed of response.

2. Responsibility can motivate experienced managers and free senior time for strategy.

LIMITATIONS / RISKS

1. Different local decisions can conflict or weaken brand consistency.

2. Less-experienced managers may make costly choices without sufficient support.

DEVELOP THIS CHAIN — explain why each arrow follows

Allow branch discretion → **Use local demand knowledge** → **Respond promptly to rivals** → **Protect branch conversion**

JUDGEMENT / WHEN DOES IT WORK?
Set boundaries and develop staff capability; decentralisation can coexist with central control of major strategic decisions.

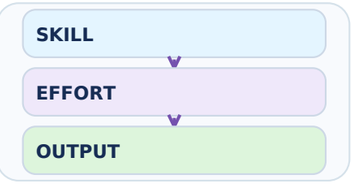
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

087 Why motivation matters

DEFINITION
Motivation is the willingness to direct and sustain effort towards goals. It influences behaviour as well as how much effort is made.

ILLUSTRATIVE EXAMPLE

A service team that feels valued may take more care resolving customer problems.



BENEFITS / USES

1. Greater effort and attention can improve productivity, quality and service.

2. Commitment may reduce absence and turnover, preserving skills and lowering replacement needs.

LIMITATIONS / RISKS

1. Rewards and development cost money and employees respond differently.

2. Poor equipment or unclear targets can prevent motivated staff from performing well.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve commitment to service → **Employees resolve problems carefully** → **Higher customer satisfaction** → **Support repeat custom**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish motivation from ability and opportunity: performance also depends on skills, tools, demand and systems.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

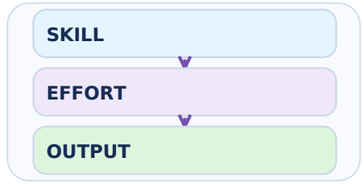
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

088 Taylor: scientific management

DEFINITION
Taylor’s approach studies tasks to identify efficient methods, selects and trains workers appropriately and links reward to output.

ILLUSTRATIVE EXAMPLE

A repetitive production task is standardised and employees receive suitable output-based pay.



BENEFITS / USES

1. Standard methods and training can reduce wasted movement and raise measurable output.

2. A clear financial incentive may focus effort where workers control their individual production.

LIMITATIONS / RISKS

1. Repetitive work and close control can reduce satisfaction and initiative.

2. Output-based incentives can encourage speed at the expense of quality or teamwork.

DEVELOP THIS CHAIN — explain why each arrow follows

Standardise an efficient task → **Train workers in the method** → **Increase output per hour** → **Potentially reduce cost per unit**

JUDGEMENT / WHEN DOES IT WORK?
More suitable for measurable repetitive work than complex creative or interdependent roles; quality must remain protected.

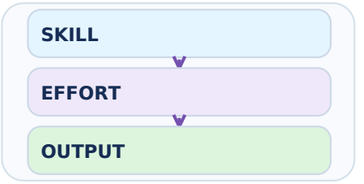
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

089 Mayo: human relations

DEFINITION
Mayo emphasised social interaction, group relationships, communication and feeling valued as influences on motivation and performance.

ILLUSTRATIVE EXAMPLE

A manager consults a team, listens to practical concerns and improves working relationships.



BENEFITS / USES

1. Belonging and attention can strengthen commitment beyond monetary reward.

2. Better communication can uncover process problems and improve cooperation.

LIMITATIONS / RISKS

1. Strong group norms may resist management goals rather than support them.

2. Listening without real action can create cynicism; social attention cannot fix all poor conditions.

DEVELOP THIS CHAIN — explain why each arrow follows

Listen to team concerns → **Workers feel valued** → **Cooperation improves** → **More reliable service effort**

JUDGEMENT / WHEN DOES IT WORK?
Apply to the actual relationship problem; friendly communication is not a substitute for fair pay, safe work or capable management.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

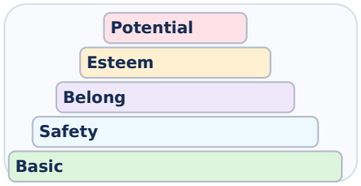
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

090 Maslow: hierarchy of needs

DEFINITION
Maslow’s model describes physiological, safety, belonging, esteem and self-actualisation needs as influences on motivation.

ILLUSTRATIVE EXAMPLE

Basic pay supports physiological needs; security supports safety; teamwork, recognition and development address higher needs.



BENEFITS / USES

1. The model encourages managers to consider different sources of motivation.

2. Matching support to an unmet need may be more effective than offering the same reward to everyone.

LIMITATIONS / RISKS

1. Needs overlap and their order can differ across people and circumstances.

2. It is difficult to know when a need is satisfied or predict behaviour from the model alone.

DEVELOP THIS CHAIN — explain why each arrow follows

Offer genuine progression → **Address esteem and development** → **Increase initiative and commitment** → **Potential performance improvement**

JUDGEMENT / WHEN DOES IT WORK?
Use evidence about employees: recognition may mean little to someone worried about insecure basic income.

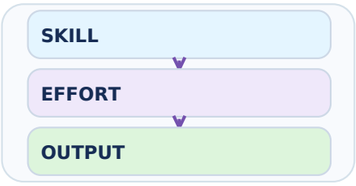
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

091 Herzberg: two-factor theory

DEFINITION
Hygiene factors limit dissatisfaction; motivators in the work itself encourage satisfaction and commitment.

ILLUSTRATIVE EXAMPLE

Pay, policies, supervision and conditions are hygiene factors; achievement, recognition, responsibility and growth are motivators.



BENEFITS / USES

1. The distinction helps explain why fixing poor pay may not create sustained enthusiasm.

2. Job enrichment and genuine responsibility can make skilled work more meaningful.

LIMITATIONS / RISKS

1. Employees differ in what they value and how they interpret a reward.

2. Extra responsibility without authority, training or fair conditions can increase stress.

DEVELOP THIS CHAIN — explain why each arrow follows

Give a meaningful whole task → **Enable achievement and ownership** → **Increase job satisfaction** → **Strengthen commitment to quality**

JUDGEMENT / WHEN DOES IT WORK?
Address unacceptable hygiene first, then improve meaningful work; avoid claiming that pay never matters.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

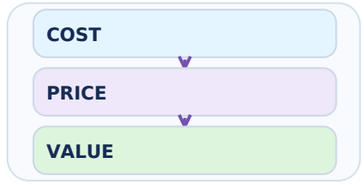
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

092 Piecework

DEFINITION
Piecework pays employees according to the number of units they produce.

ILLUSTRATIVE EXAMPLE

A worker receives £2 for each acceptable item completed.



BENEFITS / USES

1. A clear link between effort, output and pay can encourage faster production.

2. Labour payments move with output and performance is straightforward to measure for standard units.

LIMITATIONS / RISKS

1. Employees may rush or ignore quality and safety to maximise units.

2. Output may depend on machinery, materials or colleagues beyond the employee's control.

DEVELOP THIS CHAIN — explain why each arrow follows

Pay per acceptable unit → **Increase effort on production** → **More units completed** → **Potentially lower fixed cost per unit**

JUDGEMENT / WHEN DOES IT WORK?
Use only where individual output and quality are measurable; specify acceptable output rather than rewarding defects.

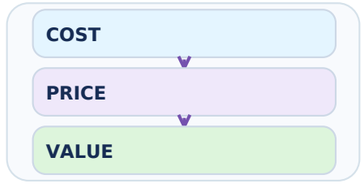
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

093 Commission

DEFINITION
Commission pays an employee an amount linked to the value or number of sales made.

ILLUSTRATIVE EXAMPLE

A salesperson receives 3% of eligible sales: £20,000 of sales generates £600 commission.



BENEFITS / USES

1. Direct reward can motivate effort in contacting buyers and completing sales.

2. Variable pay can align part of selling expenditure with sales generated.

LIMITATIONS / RISKS

1. Employees may pressure buyers or recommend unsuitable products to increase earnings.

2. Competition for individual sales can weaken teamwork and neglect after-sales service.

DEVELOP THIS CHAIN — explain why each arrow follows

Reward relevant completed sales → **Encourage selling effort** → **More suitable buyers convert** → **Potential revenue growth**

JUDGEMENT / WHEN DOES IT WORK?
Set rules that protect quality and long-term relationships; revenue-based commission may reward low-margin discounts.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

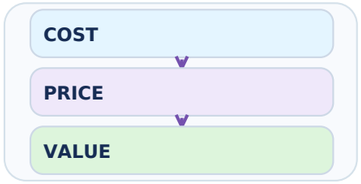
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

094 Bonuses

DEFINITION
A bonus is an additional payment for meeting an agreed result or condition.

ILLUSTRATIVE EXAMPLE

A hotel team earns a bonus for achieving service-quality and booking targets.



BENEFITS / USES

1. A clear, achievable target can focus effort on a business priority.

2. Team bonuses can encourage cooperation when outcomes depend on shared work.

LIMITATIONS / RISKS

1. Poor target design encourages gaming or neglect of unmeasured tasks.

2. Unattainable or inconsistent rewards can demotivate and cause resentment.

DEVELOP THIS CHAIN — explain why each arrow follows

Set a balanced service target → **Coordinate team effort** → **Improve measurable standards** → **Support customer satisfaction**

JUDGEMENT / WHEN DOES IT WORK?
Judge what is measured and who controls it; combine quantity with quality where both matter.

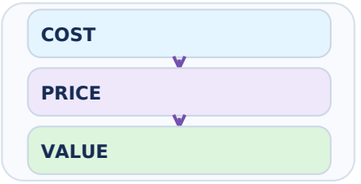
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

095 Profit sharing

DEFINITION
Profit sharing distributes a proportion of business profit to employees under an agreed arrangement.

ILLUSTRATIVE EXAMPLE

A firm allocates an agreed share of its annual profit to eligible staff.



BENEFITS / USES

1. Links employees' interests with overall business success rather than one task alone.

2. A shared reward can encourage cost awareness and cooperation across departments.

LIMITATIONS / RISKS

1. Individual effort may have little visible effect on total profit, weakening the incentive.

2. External conditions can reduce profit despite strong effort; delayed rewards may have limited impact.

DEVELOP THIS CHAIN — explain why each arrow follows

Share gains from business success → **Encourage collective cost awareness** → **Reduce avoidable waste** → **Support future profit**

JUDGEMENT / WHEN DOES IT WORK?
More persuasive when staff understand the scheme and can influence meaningful outcomes; profit can fall for reasons beyond their control.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

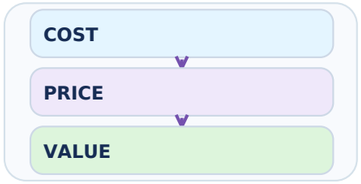
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

096 Performance-related pay

DEFINITION
Performance-related pay links some pay to assessed performance against specified criteria.

ILLUSTRATIVE EXAMPLE

A customer adviser is assessed on accurate resolution, quality and appropriate response times.



BENEFITS / USES

1. Rewards can recognise strong performance and clarify priorities.

2. Individual objectives can connect employee development with business needs.

LIMITATIONS / RISKS

1. Subjective appraisals or unfair comparisons undermine trust.

2. Narrow criteria can lead employees to prioritise scores over genuine customer needs.

DEVELOP THIS CHAIN — explain why each arrow follows

Set relevant fair criteria → **Focus effort and development** → **Improve assessed work quality** → **Support service objectives**

JUDGEMENT / WHEN DOES IT WORK?
Use transparent, controllable measures and review unintended effects; a simple speed target can reward poor-quality work.

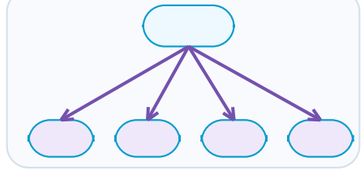
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

097 Delegation and empowerment

DEFINITION
Delegation passes authority for a task to a subordinate; the manager retains overall responsibility. Empowerment gives employees wider discretion over their work.

ILLUSTRATIVE EXAMPLE

A trained adviser can resolve complaints within an agreed limit without asking a manager each time.



BENEFITS / USES

1. Quicker decisions can reduce delays and use employees' practical knowledge.

2. Responsibility develops skill and can improve ownership and motivation.

LIMITATIONS / RISKS

1. Untrained staff may make inconsistent or costly decisions.

2. Managers may struggle to share control, or employees may feel unsupported and overloaded.

DEVELOP THIS CHAIN — explain why each arrow follows

Give clear complaint authority → **Resolve issues immediately** → **Reduce customer frustration** → **Protect repeat business**

JUDGEMENT / WHEN DOES IT WORK?
Set limits, training and support; responsibility without real decision authority is unlikely to create useful empowerment.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

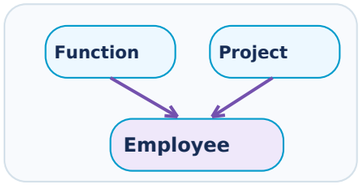
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

098 Consultation and team working

DEFINITION
Consultation seeks employee views before decisions. Team working coordinates people around shared tasks or goals.

ILLUSTRATIVE EXAMPLE

A product team combines sales, design and production input before changing packaging.



BENEFITS / USES

1. Consultation uses frontline knowledge and can improve the decision and acceptance of it.

2. Teams combine specialist strengths and create belonging and mutual support.

LIMITATIONS / RISKS

1. Discussion takes time and consensus may not be possible.

2. Dominant members, conflict or unequal effort can weaken team performance.

DEVELOP THIS CHAIN — explain why each arrow follows

Consult the cross-functional team → **Identify practical design issues** → **Make a more workable change** → **Improve implementation quality**

JUDGEMENT / WHEN DOES IT WORK?
Use genuine influence, clear roles and accountability; a meeting alone does not demonstrate effective consultation or teamwork.

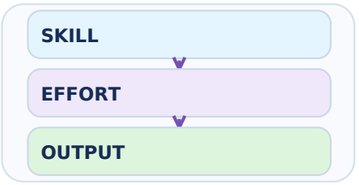
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

099 Job enrichment

DEFINITION
Job enrichment increases meaningful challenge, responsibility and scope for achievement within a role.

ILLUSTRATIVE EXAMPLE

A technician takes ownership of diagnosing, completing and reviewing a repair rather than doing one routine step.



BENEFITS / USES

1. Ownership and visible achievement can raise satisfaction, consistent with Herzberg.

2. Greater responsibility can develop skill and encourage attention to the whole outcome.

LIMITATIONS / RISKS

1. Staff may lack the confidence, training or resources to handle the wider responsibility.

2. Poorly designed enrichment can become unpaid workload and stress.

DEVELOP THIS CHAIN — explain why each arrow follows

Own the complete repair → **See the result of the work** → **Increase pride and commitment** → **Improve quality and problem solving**

JUDGEMENT / WHEN DOES IT WORK?
Most suitable when employees value development and receive matching authority and support.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

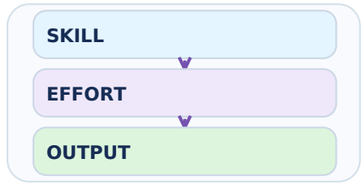
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

100 Job enlargement

DEFINITION
Job enlargement adds a wider range of tasks at a similar level of responsibility.

ILLUSTRATIVE EXAMPLE

A stock assistant also labels products and prepares customer collections, without gaining management authority.



BENEFITS / USES

1. Additional variety can reduce monotony and make staffing more flexible.

2. A broader task range may improve understanding of connected operations.

LIMITATIONS / RISKS

1. More tasks may simply feel like more work without meaningful challenge.

2. Training and switching between tasks can initially reduce efficiency.

DEVELOP THIS CHAIN — explain why each arrow follows

Add related same-level tasks → **Reduce repeated monotony** → **Improve engagement or flexibility** → **Potentially support reliable output**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish breadth from enrichment’s deeper responsibility; ask whether the employee values the added work.

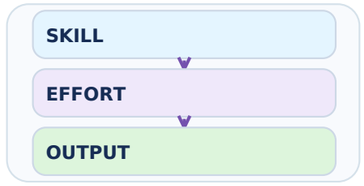
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

101 Job rotation

DEFINITION
Job rotation moves employees between different tasks or roles over time.

ILLUSTRATIVE EXAMPLE

Production staff rotate between suitable stations on an agreed schedule.



BENEFITS / USES

1. Variety can reduce boredom and develop broader knowledge.

2. Broader experience helps cover absence and understand how activities connect.

LIMITATIONS / RISKS

1. Repeated settling-in and training can temporarily reduce output or quality.

2. Some employees prefer specialisation; frequent switches may reduce expertise.

DEVELOP THIS CHAIN — explain why each arrow follows

Rotate across related stations → **Develop wider capability** → **Cover a colleague’s absence** → **Maintain production continuity**

JUDGEMENT / WHEN DOES IT WORK?
Use compatible tasks and adequate training; rotation is not simply assigning additional duties at the same time.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

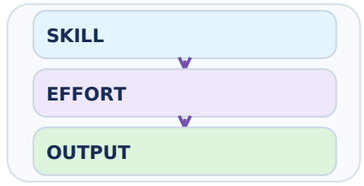
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

102 Management and leadership

DEFINITION
Management plans, organises and controls resources. Leadership influences people and provides direction and purpose.

ILLUSTRATIVE EXAMPLE

A manager organises the launch rota; a leader explains the purpose and gains commitment to better service.



BENEFITS / USES

1. Reliable management coordinates resources, standards and deadlines.

2. Effective leadership builds commitment and helps people respond to change.

LIMITATIONS / RISKS

1. Control without purpose can create compliance rather than initiative.

2. Vision without practical planning can produce confusion or undelivered promises.

DEVELOP THIS CHAIN — explain why each arrow follows

Explain a clear service direction → **Gain employee commitment** → **Coordinate practical actions** → **Improve delivery of the objective**

JUDGEMENT / WHEN DOES IT WORK?
The roles overlap: organisations generally need both appropriate direction and effective execution.

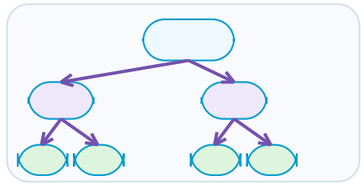
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

103 Autocratic leadership

DEFINITION
An autocratic leader makes decisions with little or no employee participation.

ILLUSTRATIVE EXAMPLE

During an urgent equipment failure, a manager directs a clear immediate response.



BENEFITS / USES

1. Decisions can be made quickly when delay creates significant cost or risk.

2. Clear direction can help inexperienced staff or tasks needing consistent procedure.

LIMITATIONS / RISKS

1. Excluding experienced staff may reduce motivation and useful ideas.

2. Dependence on the leader creates a bottleneck and limits employee development.

DEVELOP THIS CHAIN — explain why each arrow follows

Give an urgent clear instruction → **Avoid prolonged debate** → **Coordinate a rapid response** → **Limit disruption**

JUDGEMENT / WHEN DOES IT WORK?
More defensible in an immediate crisis than as the permanent style for a skilled creative team.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

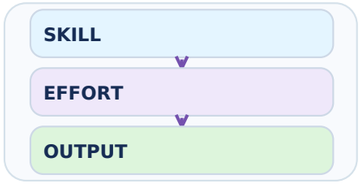
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

104 Paternalistic leadership

DEFINITION
A paternalistic leader makes decisions while claiming to act in employees' best interests, often seeking loyalty in return.

ILLUSTRATIVE EXAMPLE

A founder chooses welfare benefits and explains them to staff but retains final authority.



BENEFITS / USES

1. Attention to wellbeing may strengthen loyalty and reduce insecurity.

2. Decisions can remain clear without requiring agreement from the whole workforce.

LIMITATIONS / RISKS

1. The leader's view of staff needs may differ from what employees actually want.

2. Limited participation can create dependency or frustration among capable staff.

DEVELOP THIS CHAIN — explain why each arrow follows

Provide valued welfare support → **Employees feel cared for** → **Improve loyalty and retention** → **Preserve experienced service**

JUDGEMENT / WHEN DOES IT WORK?
Effectiveness depends on genuine understanding and trust; welfare intentions do not replace employees' voice.

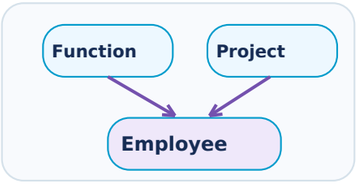
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

105 Democratic leadership

DEFINITION
A democratic leader involves employees in decisions while maintaining appropriate responsibility for outcomes.

ILLUSTRATIVE EXAMPLE

A design manager consults specialists before choosing how to improve a product.



BENEFITS / USES

1. Participation uses expertise and can improve the quality of decisions.

2. Being heard can strengthen commitment and acceptance of a change.

LIMITATIONS / RISKS

1. Consultation can delay action and create conflict where views differ.

2. Participation is less useful if staff lack relevant knowledge or believe input will be ignored.

DEVELOP THIS CHAIN — explain why each arrow follows

Involve knowledgeable staff → **Use better practical ideas** → **Increase buy-in to the choice** → **Improve implementation**

JUDGEMENT / WHEN DOES IT WORK?
Particularly suitable for skilled teams and non-urgent decisions; the leader still needs to resolve disagreement and act.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.4 | Managing people

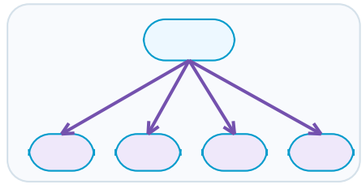
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

106 Laissez-faire leadership

DEFINITION
A laissez-faire leader gives employees substantial freedom to decide how to carry out their work, with limited day-to-day intervention.

ILLUSTRATIVE EXAMPLE

An experienced research team agrees objectives and independently chooses working methods.



BENEFITS / USES

1. Expert autonomy can encourage creativity and intrinsic motivation.

2. Less micromanagement allows the leader to focus on strategic issues.

LIMITATIONS / RISKS

1. Weak direction can produce duplicated work, inconsistent quality or missed deadlines.

2. Inexperienced staff may feel abandoned without coaching and priorities.

DEVELOP THIS CHAIN — explain why each arrow follows

Give experts meaningful autonomy → **Allow methods suited to the task** → **Encourage creative problem solving** → **Develop useful innovations**

JUDGEMENT / WHEN DOES IT WORK?
Freedom works better with competent staff, clear goals and accountability; it does not mean having no leadership.

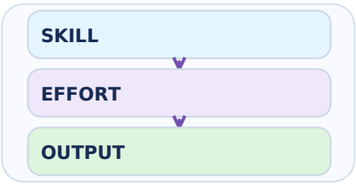
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

107 Moving from entrepreneur to leader

DEFINITION
Business growth requires a founder to move from personally doing most tasks towards directing, delegating and coordinating others.

ILLUSTRATIVE EXAMPLE

A founder appoints trained managers and introduces clear responsibilities as the business adds branches.



BENEFITS / USES

1. Sharing work frees time for strategy and removes dependence on one person.

2. Capable managers and systems can improve consistency across a larger operation.

LIMITATIONS / RISKS

1. The founder may resist losing control or struggle to trust others.

2. Weak communication, unsuitable appointments or insufficient systems can damage quality during growth.

DEVELOP THIS CHAIN — explain why each arrow follows

Delegate to capable managers → **Reduce founder bottlenecks** → **Set direction across branches** → **Support controlled expansion**

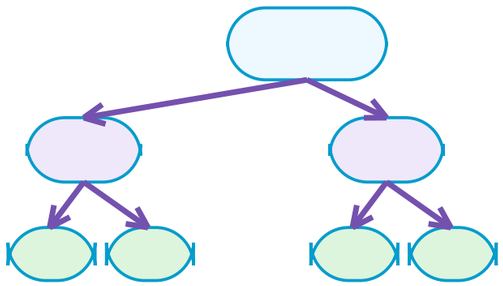
JUDGEMENT / WHEN DOES IT WORK?
Founder creativity does not guarantee people-management skill; support the transition with training, clear authority and performance review.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

People models | choose by the task and workforce

Use the diagram to explain a decision; then test the assumptions and limitations.

Tall and flat: control versus speed

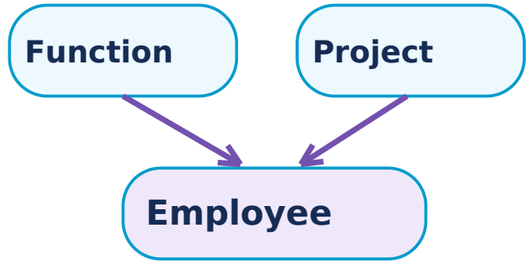


Tall: more levels, often narrower spans. Closer supervision but longer reporting routes and manager costs.

Flat: fewer levels, often wider spans. Faster contact but possible overload and fewer promotion steps.

Practise: redraw → label → explain one use → identify one limitation.

Matrix and shared expertise



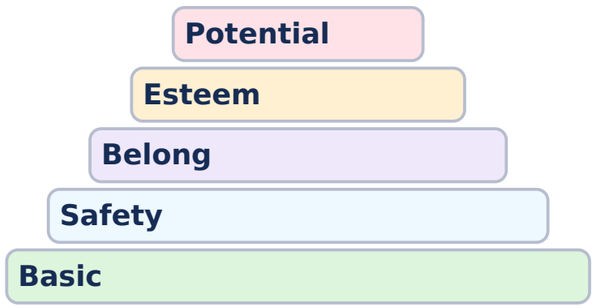
Function + project reporting can combine specialist knowledge.

The same dual authority can create conflicting priorities.

Explain who decides and who is accountable before claiming better coordination.

Practise: redraw → label → explain one use → identify one limitation.

Maslow: match the unmet need



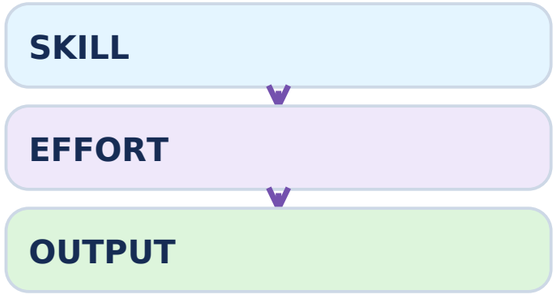
Basic pay; safety/security; belonging; esteem; fulfilling potential.

The same reward may not fit every employee.

Use evidence about needs rather than assuming a rigid universal sequence.

Practise: redraw → label → explain one use → identify one limitation.

Motivation: theory → method → outcome



Taylor: task efficiency and monetary incentive.
Mayo: relationships and belonging.
Herzberg: hygiene plus meaningful achievement.

Distinguish motivation from skill, tools and opportunity to perform.

Practise: redraw → label → explain one use → identify one limitation.

1.3.5 | Entrepreneurs and leaders

What drives entrepreneurial decisions and trade-offs?

KNOWLEDGE → DECISION → IMPACT

Role

Create • run • develop • innovate internally

Constraints

Barriers • risk • uncertainty

Characteristics/skills

Initiative • resilience • planning • people

Motives

Profit/maximise/satisfice • independence • values

Objectives

Survival • commercial • welfare • satisfaction • social

Choices

Scarcity • opportunity cost • trade-offs

The higher-level connection

Owner’s purpose → objective → resource choice → benefits and forgone alternatives → judgement about the best fit. Success is not always the maximum short-term profit.

1.3.5 | Entrepreneurs and leaders

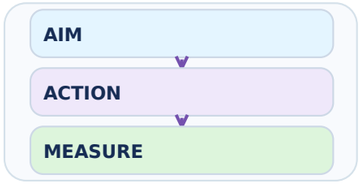
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

108 Creating, running and developing a business

DEFINITION
An entrepreneur identifies an opportunity, organises resources, starts and operates a business and accepts its risks.

ILLUSTRATIVE EXAMPLE

A founder identifies demand for repairs, tests prices, organises tools and staff, then expands if orders justify it.



BENEFITS / USES

1. Entrepreneurial decisions can create useful new offers, employment and revenue.

2. Development through products, markets or capacity can increase reach and reduce dependence on the original offer.

LIMITATIONS / RISKS

1. Starting requires resources before demand and costs are fully known.

2. Expansion stretches management time and can damage the quality that attracted customers.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify an unmet need → **Test a workable offer** → **Organise people and resources** → **Launch, review and develop**

JUDGEMENT / WHEN DOES IT WORK?
Explain day-to-day operation as well as the initial idea; growth is valuable only when resources and demand support it.

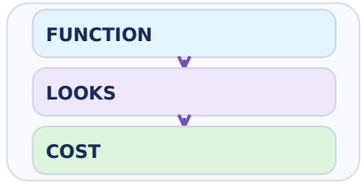
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

109 Intrapreneurship

DEFINITION
Intrapreneurship is entrepreneurial innovation by employees within an existing organisation.

ILLUSTRATIVE EXAMPLE

A hotel employee develops a new booking service using the firm’s systems and customer knowledge.



BENEFITS / USES

1. Employee insight can identify practical improvements and new revenue opportunities.

2. Existing resources, brand and expertise may make it easier to test and implement a useful idea.

LIMITATIONS / RISKS

1. Experiments use time and money and may not produce a viable return.

2. Rigid policies or managers’ resistance can prevent ideas being tried or credited fairly.

DEVELOP THIS CHAIN — explain why each arrow follows

Invite frontline ideas → **Test a service improvement** → **Improve customer convenience** → **Create extra sales potential**

JUDGEMENT / WHEN DOES IT WORK?
Give suitable autonomy, resources and recognition; an ideas box without the ability to act is unlikely to create meaningful innovation.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.5 | Entrepreneurs and leaders

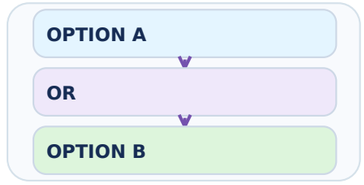
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

110 Barriers to entrepreneurship

DEFINITION
Barriers are obstacles that make it harder to establish or develop an enterprise.

ILLUSTRATIVE EXAMPLE

An aspiring repair specialist has technical skill but lacks start-up finance, business knowledge and confidence in local demand.



BENEFITS / USES

1. Advice, training, networks and trials can reduce knowledge and confidence barriers.

2. A smaller phased launch can limit the resources committed before demand is clearer.

LIMITATIONS / RISKS

1. Finance may remain unavailable or too costly despite a promising idea.

2. Fear of failure, weak networks or limited know-how can prevent useful opportunities being pursued.

DEVELOP THIS CHAIN — explain why each arrow follows

Seek business advice → **Test a smaller launch** → **Learn about demand and cost** → **Reduce the risk of overcommitment**

JUDGEMENT / WHEN DOES IT WORK?
Identify the binding barrier in the case. More confidence will not by itself solve a lack of money or a genuinely weak market.

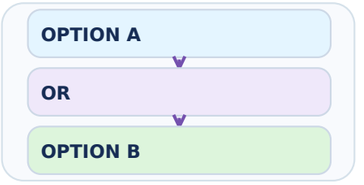
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

111 Anticipating risk and uncertainty

DEFINITION
Entrepreneurs anticipate possible changes and adverse outcomes rather than assuming forecasts will be correct.

ILLUSTRATIVE EXAMPLE

Before adding a branch, a founder tests demand and plans an alternative if sales are below expectations.



BENEFITS / USES

1. Research, scenario planning and trials improve the information behind a decision.

2. Contingencies, flexible commitments and appropriate insurance can limit particular losses.

LIMITATIONS / RISKS

1. Preparation has costs and forecasts can still be wrong.

2. Unexpected events may not have reliable probabilities or a ready-made response.

DEVELOP THIS CHAIN — explain why each arrow follows

Explore a plausible downside → **Prepare a practical response** → **Reduce exposure to one forecast** → **Improve resilience**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish estimated risk from uncertainty; explain what can be managed and what still requires adaptability.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.5 | Entrepreneurs and leaders

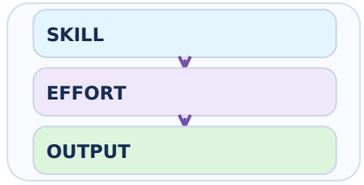
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

112 Entrepreneurial characteristics and skills

DEFINITION
Characteristics are personal qualities; skills are abilities developed through learning and experience.

ILLUSTRATIVE EXAMPLE

A founder uses resilience after a setback, communication to gain support and financial skill to assess costs.



BENEFITS / USES

1. Creativity, initiative and adaptability help identify and improve opportunities.

2. Planning, negotiation, financial and people skills help turn an idea into organised activity.

LIMITATIONS / RISKS

1. Confidence without evidence may lead to excessive risk or ignored feedback.

2. One individual may lack key skills and need partners, employees or advice.

DEVELOP THIS CHAIN — explain why each arrow follows

Respond resiliently to feedback → **Identify the weak part of the offer** → **Adapt rather than repeat errors** → **Improve survival prospects**

JUDGEMENT / WHEN DOES IT WORK?
Relate each quality to an action and outcome; a list of positive personality words is not analysis.

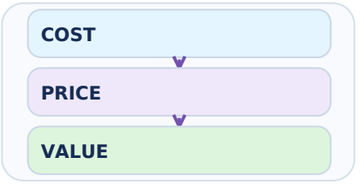
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

113 Profit maximisation as a motive

DEFINITION
Profit maximisation aims to achieve the highest feasible difference between total revenue and total costs.

ILLUSTRATIVE EXAMPLE

An owner compares pricing and output options, choosing the one expected to generate the most profit.



BENEFITS / USES

1. Profit can reward risk-taking and finance future development.

2. A clear financial priority helps compare choices using both receipts and costs.

LIMITATIONS / RISKS

1. A narrow short-term focus may reduce staff welfare, service or ethical standards.

2. Maximum profit is difficult to identify when future demand, costs and rival actions are uncertain.

DEVELOP THIS CHAIN — explain why each arrow follows

Choose a profitable product mix → **Avoid unproductive expenditure** → **Increase the surplus earned** → **Fund owner returns or reinvestment**

JUDGEMENT / WHEN DOES IT WORK?
Maximum sales or the highest price is not automatically maximum profit; evaluate demand response and all relevant costs.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.5 | Entrepreneurs and leaders

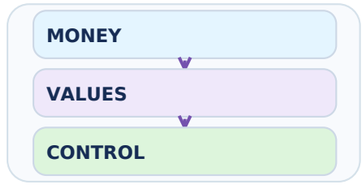
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

114 Profit satisficing

DEFINITION
Profit satisficing seeks a satisfactory profit while allowing the owner to pursue other priorities.

ILLUSTRATIVE EXAMPLE

A tutor earns enough to meet financial goals while limiting working hours and retaining control.



BENEFITS / USES

1. Allows balance between viable finances, independence, ethics or work-life preferences.

2. Avoiding unnecessary expansion may preserve quality and manageable responsibilities.

LIMITATIONS / RISKS

1. Accepting less growth or profit can limit reserves and future opportunities.

2. A larger competitor may expand while the owner prioritises non-financial aims.

DEVELOP THIS CHAIN — explain why each arrow follows

Set a satisfactory profit target → **Limit unwanted expansion** → **Retain control and time** → **Meet wider owner priorities**

JUDGEMENT / WHEN DOES IT WORK?
The satisfactory level must still support survival and resilience; satisficing is not the same as ignoring profit.

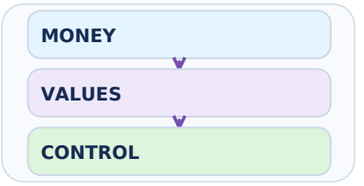
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

115 Independence and home working motives

DEFINITION
Independence means control over business decisions; home working is a motive to organise enterprise around a preferred working location or lifestyle.

ILLUSTRATIVE EXAMPLE

A designer starts a home-based business to control projects and reduce commuting.



BENEFITS / USES

1. Autonomy allows decisions consistent with the owner’s interests and values.

2. Home working may reduce commuting and some premises costs while fitting personal responsibilities.

LIMITATIONS / RISKS

1. The owner bears responsibility, workload and uncertainty rather than escaping them.

2. Space, customer access, isolation or blurred boundaries can limit home-based activity.

DEVELOP THIS CHAIN — explain why each arrow follows

Choose a suitable home-based service → **Reduce commuting and premises needs** → **Keep greater schedule control** → **Support desired work-life arrangements**

JUDGEMENT / WHEN DOES IT WORK?
Motives do not guarantee the benefits: clients, delivery needs and fluctuating demand may still constrain freedom.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.5 | Entrepreneurs and leaders

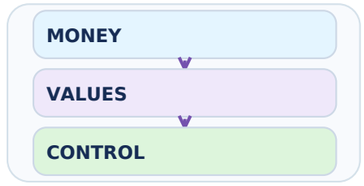
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

116 Ethical stance and social entrepreneurship

DEFINITION
An ethical stance prioritises values in business choices. Social entrepreneurship uses trading activity to pursue a social or environmental purpose.

ILLUSTRATIVE EXAMPLE

A social café trades to support work opportunities and reinvests suitable surplus in that mission.



BENEFITS / USES

1. A clear purpose can attract aligned buyers, staff and supporters.

2. Trading income can finance continued social impact rather than relying only on donations.

LIMITATIONS / RISKS

1. Responsible inputs and mission commitments may raise costs or limit commercial choices.

2. A mission still requires viable income; weak finances can stop the benefits being delivered.

DEVELOP THIS CHAIN — explain why each arrow follows

Earn a trading surplus → **Reinvest in the social purpose** → **Reach more beneficiaries** → **Increase sustained social impact**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish having values from a social-enterprise purpose; neither means profit or cost control becomes irrelevant.

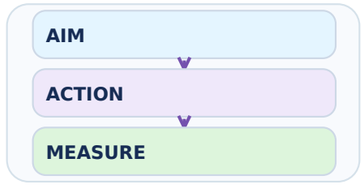
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

117 Survival as an objective

DEFINITION
Survival means remaining able to continue trading rather than closing the business.

ILLUSTRATIVE EXAMPLE

A new service prioritises sufficient customers and controlled expenditure while establishing a reliable income stream.



BENEFITS / USES

1. Provides a realistic early priority when demand and costs remain uncertain.

2. Protecting the ability to operate preserves jobs and the chance of later development.

LIMITATIONS / RISKS

1. Excessive caution can prevent valuable investment or market opportunities.

2. Focusing only on the immediate period can leave the offer weak against future rivals.

DEVELOP THIS CHAIN — explain why each arrow follows

Control avoidable expenditure → **Keep the offer viable** → **Continue serving customers** → **Build a base for later development**

JUDGEMENT / WHEN DOES IT WORK?
Often important for a start-up or difficult trading period, but the appropriate priority changes as stability and opportunities change.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.5 | Entrepreneurs and leaders

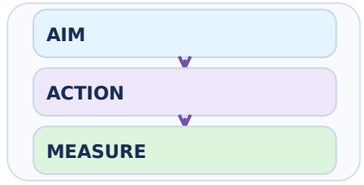
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

118 Sales maximisation and market share objectives

DEFINITION
Sales maximisation seeks the highest sales revenue. A market-share objective seeks a larger proportion of total market sales.

ILLUSTRATIVE EXAMPLE

A firm aims for 15% share, which requires its sales to grow faster than the market's sales.



BENEFITS / USES

1. Higher revenue can spread some fixed costs and increase market presence.

2. Share growth can strengthen recognition and a firm's position against rivals.

LIMITATIONS / RISKS

1. Discounts and promotion can increase sales while reducing total profit.

2. An expanding market may let revenue rise even when relative competitive position weakens.

DEVELOP THIS CHAIN — explain why each arrow follows

Increase awareness and distribution → **Gain additional buyers** → **Outgrow the total market** → **Raise market share**

JUDGEMENT / WHEN DOES IT WORK?
Match the measure to the aim. If the case specifies sales volume, distinguish units sold from revenue.

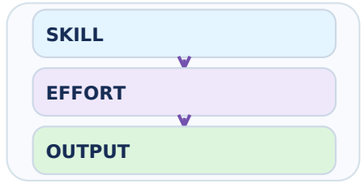
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

119 Cost efficiency and employee welfare objectives

DEFINITION
Cost efficiency seeks an output with less resource cost or more output from given resources. Employee welfare aims to support staff wellbeing.

ILLUSTRATIVE EXAMPLE

A firm improves scheduling to reduce idle time while keeping safe workloads and predictable hours.



BENEFITS / USES

1. Efficient use of resources can reduce unit cost and support competitiveness.

2. Good welfare may improve retention, attendance and the quality of employee effort.

LIMITATIONS / RISKS

1. Cost cutting can damage welfare or quality if it removes necessary support.

2. Welfare improvements require spending and may not create an immediate measurable return.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve workable schedules → **Reduce unnecessary idle hours** → **Protect staff wellbeing** → **Support cost and retention aims**

JUDGEMENT / WHEN DOES IT WORK?
Look for compatible changes before treating these aims as opposites; distinguish efficiency from simply paying less.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.5 | Entrepreneurs and leaders

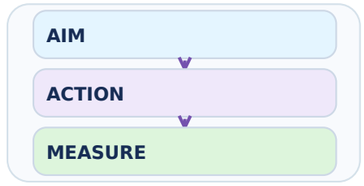
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

120 Customer satisfaction and social objectives

DEFINITION
Customer satisfaction aims to meet or exceed buyer expectations. Social objectives seek positive outcomes for people, communities or the environment.

ILLUSTRATIVE EXAMPLE

A repair business improves reliability and offers access for disadvantaged groups.



BENEFITS / USES

1. Satisfaction can encourage repeat purchases, recommendations and lower complaints.

2. Social outcomes can fulfil the venture’s purpose and strengthen stakeholder trust.

LIMITATIONS / RISKS

1. Extra service or social commitments cost resources and can conflict with low prices or immediate profit.

2. Expectations and impact are difficult to measure; positive intentions do not prove results.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve service reliability → **Meet customer expectations** → **Build trust and recommendations** → **Support repeat demand**

JUDGEMENT / WHEN DOES IT WORK?
Prioritise the stated objective and credible measures; social impact and commercial success may support each other but are not identical.

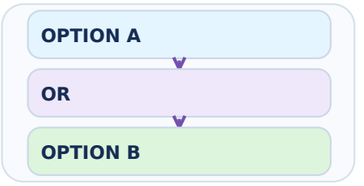
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

121 Opportunity cost

DEFINITION
Opportunity cost is the value of the next-best alternative forgone when a choice is made.

ILLUSTRATIVE EXAMPLE

Choosing staff training may mean forgoing the best alternative advertising campaign and its expected benefit.



BENEFITS / USES

1. Makes the hidden cost of using scarce resources explicit.

2. Encourages comparison of alternatives against the business’s real objective.

LIMITATIONS / RISKS

1. The forgone benefit is uncertain and may be difficult to quantify.

2. Considering every possible alternative is impractical; identify the credible next best.

DEVELOP THIS CHAIN — explain why each arrow follows

Allocate funds to training → **Forgo the best ad option** → **Compare service gains with lost reach** → **Choose the greater objective benefit**

JUDGEMENT / WHEN DOES IT WORK?
The opportunity cost is the value of the alternative forgone, not merely the amount spent or the sum of all rejected options.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

1.3.5 | Entrepreneurs and leaders

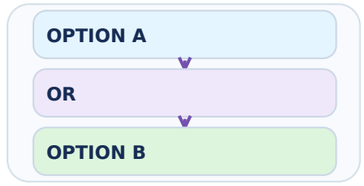
DETAILED STUDY CARDS • Accurate knowledge, worked application, two arguments each way and a conditional judgement.

122 Trade-offs and changing priorities

DEFINITION
A trade-off accepts less of one desired outcome to gain more of another because resources or objectives conflict.

ILLUSTRATIVE EXAMPLE

A growing business may accept lower short-term profit while investing in quality and staff development.



BENEFITS / USES

1. Recognising conflicts makes decisions and resource limits more realistic.

2. Clear priorities allow consistent choices between short- and long-term outcomes.

LIMITATIONS / RISKS

1. Some stakeholders bear costs while others gain, creating disagreement.

2. Benefits may arrive later than expected or not compensate for the sacrifice.

DEVELOP THIS CHAIN — explain why each arrow follows

Invest in better service → **Accept lower current surplus** → **Build future loyalty** → **Seek stronger long-term performance**

JUDGEMENT / WHEN DOES IT WORK?
State what is sacrificed, what is gained, when each occurs and why the priority suits this business.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

Connect this section

Owner’s purpose → objective → resource choice → benefits and forgone alternatives → judgement about the best fit. Success is not always the maximum short-term profit.

Self-check before moving on

1. Define the key terms without looking.

2. Choose two distinct arguments and explain why each matters.

3. Apply the point to a specific product, buyer or worker.

4. Explain a condition that could change your judgement.

Applied reasoning | Meeting customer needs

Should a new bakery rely mainly on primary research?

ILLUSTRATIVE CASE
A new bakery targets commuters near a station. Its owner has limited funds and needs to choose opening times, products and prices.

Argument: explain the mechanism

Primary research could reduce the risk of an unsuitable launch. Short interviews with the station’s commuters would reveal when they travel and which breakfast products they value. Because the research concerns the bakery’s actual catchment, the owner can use it to select opening hours and a focused range rather than relying on national averages. Better matching the offer to local routines may improve the proportion of passers-by who buy. If that reduces the production of unwanted items, it can also reduce food waste and protect the bakery’s limited resources.

Counterargument: develop the competing effect

However, collecting credible primary evidence costs time and money before the bakery earns revenue. A convenient sample of friendly respondents may also overstate demand, especially if people express interest without committing to a purchase. The owner could first use local population and station-use data to estimate the size of the opportunity. This would narrow the questions that require new research and reduce unnecessary interviewing. Secondary information cannot settle the exact recipe or price choice, but it can make a smaller primary study more focused and affordable.

Supported judgement: weigh the decisive condition

Use secondary research to establish context, then targeted primary research for local decisions. The most important condition is sample relevance: interviewing actual commuters at realistic travel times is more useful than simply collecting a large number of replies.

Annotate: underline knowledge; circle case evidence; draw the causal links; identify the condition behind the judgement.

Applied reasoning | The market

Should a budget gym increase its membership price?

ILLUSTRATIVE CASE
A budget gym has nearby substitutes. It estimates that a 10% price rise would reduce membership from 1,000 to 850; the current fee is £20 per month.

Argument: explain the mechanism

The forecast indicates elastic demand: the 15% fall in membership divided by the 10% price rise gives PED of −1.5. At present, monthly membership revenue is £20 × 1,000 = £20,000. A £22 fee with 850 members gives £18,700, a fall of £1,300. Close alternatives make switching plausible for budget customers, so the higher receipt from each remaining member does not offset the lost memberships. On this estimate, an across-the-board price rise would weaken revenue and could undermine the gym's affordability position.

Counterargument: develop the competing effect

However, revenue is not the same as profit. Fewer members might reduce some variable servicing costs or relieve overcrowding, improving the experience for those who remain. If crowded facilities are causing cancellations, the gym could also strengthen retention or perceived value by improving access. The saving is uncertain because rent and much equipment expenditure do not fall when membership decreases. Therefore, the loss of £1,300 should be compared with realistic cost savings, rather than assuming that fewer customers automatically create a more profitable gym.

Supported judgement: weigh the decisive condition

The available figures argue against the general rise unless credible savings or service benefits outweigh the lost revenue. Check the estimate against actual buyer behaviour; differentiated membership options may preserve affordability while earning more from customers who value extra services.

Annotate: underline knowledge; circle case evidence; draw the causal links; identify the condition behind the judgement.

Applied reasoning | Marketing mix and strategy

Should a differentiated new device use penetration pricing?

ILLUSTRATIVE CASE
A new device has a useful exclusive feature but limited brand awareness. Its producer has substantial development costs and a finite production capacity.

Argument: explain the mechanism

Penetration pricing could encourage buyers to try an unfamiliar brand. A low introductory price reduces the perceived financial risk of switching from an established device, helping the new producer gain early users and reviews. If customers value the exclusive feature after trial, some may recommend it, extending awareness beyond the original promotion. Higher volume could also spread fixed development spending over more units. These effects make a low launch price potentially useful where weak awareness, rather than weak product performance, is the main barrier to purchase.

Counterargument: develop the competing effect

However, a low price sacrifices receipts from early adopters who may be willing to pay for the exclusive feature. With limited capacity, the firm may sell all available units without needing a deep discount, so additional demand would not translate into extra output. A low launch price could also make it harder to establish a premium quality position. Skimming may therefore recover more of the development expenditure from the initial capacity, provided buyers see a meaningful advantage and rivals cannot copy it quickly.

Supported judgement: weigh the decisive condition

A selective skimming approach is more persuasive if the feature is defensible and capacity is the binding constraint. Penetration becomes stronger if low awareness prevents sufficient sales and the firm can expand output economically. The decisive issue is demand relative to capacity, not simply gaining maximum launch volume.

Annotate: underline knowledge; circle case evidence; draw the causal links; identify the condition behind the judgement.

Applied reasoning | Managing people

Should a hotel invest in on-the-job service training?

ILLUSTRATIVE CASE
A hotel has newly recruited staff, recurring service errors and busy weekend periods. Experienced staff can coach but are already handling customer demand.

Argument: explain the mechanism

On-the-job training can improve service accuracy because new employees practise the hotel's actual procedures with immediate correction. For example, coaching on the booking system may reduce incorrect room allocations and the time needed to resolve complaints. Fewer errors release experienced staff from repeated remedial work, improving the team's effective capacity. More reliable service can also protect customer satisfaction and recommendations. These gains offer both an operational reason for the training and a plausible route to future revenue, rather than relying on the unsupported claim that training automatically raises profit.

Counterargument: develop the competing effect

However, coaching removes some experienced staff time from current customer service. During a busy weekend, that reduction could lengthen queues and worsen the very customer experience the hotel wants to improve. In addition, employees may learn the coach's informal shortcuts rather than the correct procedure if training is not structured. The hotel should therefore compare immediate disruption with the likely duration of the learning benefit. A short, well-supervised session at a quieter time may capture the advantages without creating unnecessary peak-period service problems.

Supported judgement: weigh the decisive condition

Invest in structured training, prioritising the errors with the greatest customer impact and scheduling practice away from peak demand. The conclusion depends on trainer competence and whether the hotel can provide protected practice; attendance alone is not evidence that service quality improved.

Annotate: underline knowledge; circle case evidence; draw the causal links; identify the condition behind the judgement.

Applied reasoning | Entrepreneurs and leaders

Should a social café prioritise its mission over maximum profit?

ILLUSTRATIVE CASE
A social café aims to create work opportunities. Additional supported training is costly, and the café relies on trading income to continue operating.

Argument: explain the mechanism

Prioritising the mission can make the enterprise fulfil the purpose for which it exists. Spending on supported training may help participants develop confidence and practical skills, increasing the social value created even if short-term profit is lower. A clear, credible purpose can also attract customers and employees who want to support that outcome. Their commitment may strengthen demand and retention, partly offsetting the additional training cost. The decision should therefore be assessed using the café's social objective as well as the owner's financial return.

Counterargument: develop the competing effect

However, an enterprise cannot sustain its mission if trading income persistently fails to cover its operating needs. Committing to more training than the café can support may eventually force it to reduce activity or close, removing future opportunities. Profit satisficing offers a more workable approach: earn a sufficient surplus to maintain resilience, then use available resources to develop the mission. The appropriate level depends on demand stability and the cost of support, rather than a belief that a social purpose makes financial performance unimportant.

Supported judgement: weigh the decisive condition

Prioritise social impact within a financially viable model. The strongest judgement considers both current benefit and the ability to provide future benefit; an extra opportunity today may be poor use of resources if it threatens all opportunities next term.

Annotate: underline knowledge; circle case evidence; draw the causal links; identify the condition behind the judgement.

Exam toolkit | depth, application and judgement

Aligned with Pearson’s IAL assessment guidance • Classroom structures are aids, not fixed marking rules.

Short answers and calculation

Define: give a precise meaning; avoid replacing the term with a vague synonym.

Calculate: formula → substitution → working → correct value, sign and unit.

Explain: answer the actual question, apply relevant source evidence and show the consequence. Do not spend the response repeating the extract.

Analyse (6) and discuss (8)

Analyse: develop relevant cause and effect in the business context; a judgement is not required just because the issue has another side.

Discuss: develop balanced arguments with relevant context. An eight-mark discuss answer does not require a conclusion.

Quality and depth matter more than the number of disconnected points.

Assess (10)

Develop the benefit and the limitation using case evidence.

Explain their significance and reach a supported judgement that answers the question.

The judgement should establish which effect matters more and why, taking account of a relevant condition or constraint.

Evaluate (20)

Develop well-chosen competing arguments with sustained reasoning and effective application.

Weigh strength, scale, timing and assumptions before reaching an overall judgement.

A useful plan is benefit → limitation → another distinct argument each way → judgement. No prescribed paragraph count guarantees full marks.

Build a revision routine | evidence of readiness

Use the cards actively. A familiar-looking page is not evidence that you can explain or apply its ideas.

Pass 1: knowledge and distinctions

Red: cannot define or distinguish the term. Read the card, make a brief example, then retrieve it again.

Amber: definition is accurate but explanation or application is weak. Practise a short question and explain each arrow.

Green: retrieve accurately and apply it to an unfamiliar case. Keep it in spaced review.

Pass 2: calculations and diagrams

Calculate PED, YED, total revenue, share and mark-up without copying the model.

Draw one demand shift and one supply shift with both equilibria and clear labels.

Check the original-value denominator and the business meaning of the number. Explain what would make a forecast unreliable.

Pass 3: write, mark, improve

Write a timed answer from a fresh case, then compare with its actual mark scheme.

Check: accurate concept, useful evidence, explained mechanism, developed alternative and justified judgement where required.

Rewrite the weakest paragraph. Record what changed rather than simply copying a model.

Useful self-check questions

Can I explain why this method fits this business?

Can I give a different argument, rather than relabelling the first?

Have I distinguished revenue, added value and profit?

Can I explain what would change my conclusion?

Could the examiner identify the question from my answer?

Specification audit | subparts 1–19

Each row records a required subpart, its named content and the detailed cards/pages that develop it.

Spec reference	Content checked (paraphrased)	Detailed card number(s)	Page(s)
1.3.1 / 1a	Mass/niche characteristics; market size/share; brands	1, 2, 3, 22	4, 5, 14
1.3.1 / 1b	Online retail; market change; innovation/growth; adaptation	4	5
1.3.1 / 1c	Competition and effects on the market	5	6
1.3.1 / 1d	Risk distinguished from uncertainty	6	6
1.3.1 / 2a	Primary/secondary, quantitative/qualitative and the three research purposes	7, 8, 9, 10	7, 8
1.3.1 / 2b	Surveys; groups/panels; face/telephone interviews; trials/test marketing	11, 12, 13, 14	9, 10
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Coverage is developed through definitions, examples, competing arguments and decision conditions. The additional visual/calculation pages reinforce the detailed cards. Grade A still requires accurate application and timed exam practice.

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Each row records a required subpart, its named content and the detailed cards/pages that develop it.

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Each row records a required subpart, its named content and the detailed cards/pages that develop it.

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Specification audit | subparts 58–75

Each row records a required subpart, its named content and the detailed cards/pages that develop it.

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1.3.3 Marketing mix and strategy

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Source for subject scope: Pearson Edexcel IAL Business (2018), Unit 1, specification sections 1.3.1–1.3.5, printed pp. 13–19. Definitions, cases and model paragraphs in this resource are independently written.

Assessment guidance: Pearson IAL Business assessment support page, checked 9 November 2026. The resource emphasises accurate knowledge, relevant application, explained reasoning and justified evaluation. No fixed card count, paragraph count or chain length guarantees a grade.

Classroom aids: PACIFIC and PINTS follow the supplied examples. Interest rates/confidence are additional links; seasonality and external shocks remain explicit. SMART, PECAN and the 4Ws are planning aids, not extra named Unit 1 content or official marking formulas.